



AMITY UNIVERSITY ONLINE, NOIDA, UTTAR PRADESH

In partial fulfilment of the requirement for the award of degree of

Bachelor of Computer Application (Online) (Discipline -IT)

TITLE: A Behavioral Analysis of Online Shopping

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ABSTRACT

Online shopping is currently a predominant trend in the contemporary business environment changing how people buy goods and services. It has transformed the culture of shoppers and provided businesses to flourish in the online world. The reason why more and more people now order goods online is due to its convenience and comfortability of shopping from the comfort of one's office or home, or even while on the move. With increased internet accessibility and smartphone usage, as well as increased digital literacy, then more consumers are shifting their taste from the traditional in-store purchase to online platforms.

Until very recently, this style of Internet shopping has gone from being simply a convenient facility to being a cornerstone of business advantage in the intensely competitive marketplace of the twenty first century. All consumers need a few clicks to have a variety of products at their disposal. They can be able to compare prices, read reviews, enjoy offers and even order products delivered to their doorstep. Through this change in consumer habits, businesses have been prompted to reassess their plans and learn what exactly creates customer satisfaction online.

The current paper tries to analyze and examine consumer behavior with reference to online shopping, and in particular, consumers of Mumbai city. It tries to understand what moves customers to shop online, and what problems they encounter, and how these factors influence their satisfaction at large. The study also gives information on the frequency of shopping, platforms preferred, types of the products being purchased mode of payments and awareness channels that influence shopping behavior.

Because a descriptive research design permits the systematic observation and description of behavior, it was adopted for this research. A questionnaire was carefully built to act as the main

method for gathering information. Covering areas like demographic background, shopping pattern, platform choices, reasons for shopping, and issues experienced, the questionnaire was carefully built to obtain multi-aspect information.

A convenience sampling approach was employed by the study to gather data from a mixture of respondents who had used online shopping before. One hundred valid online shopper responses were gathered across Mumbai for this study. After the data had been collected, it was organized and analyzed by means of simple statistical tools. To better understand the results, the researchers used percentage analysis, frequency distribution, and created graphs to represent the data.

According to the study results, a few factors including convenience, time efficiency, product variety, discounts, and home delivery strongly influence consumers to shop online. Most respondents expressed a strong preference for Amazon and Flipkart, and most also chose cash on delivery as their most trusted payment option. In addition, the research demonstrated that certain difficulties—

including physical inspection limitations, payment fraud apprehension, and return complications—continue to reduce consumer trust and satisfaction.

The findings of this investigation are particularly important for e-commerce businesses and marketers wanting to increase their reach or improve customer care. Knowing what affects consumer behavior gives businesses the ability to create improved methods for keeping customers, simplifying the process, and making online shopping better. The contributions of this work include the ability to develop more intuitive websites, strengthen trust, and improve promotional initiatives tailored to consumers.

Extended Abstract

1. Introduction

As more people gained access to the internet and began using smartphones with online payment options, the way Indians buy goods and services has been altered. Because of digital transformation, many now use the internet for shopping. There is a remarkable shift in the way Mumbai's population shops due to changes happening in the Indian digital economy. Many buyers now prefer electronic markets that are convenient, offer several products, are affordable and easy to access.

The research by the title "A Study on Consumer Behavior Towards Online Shopping" is of particular interest, as it is aimed at Mumbai city, describes the process of choosing online shopping by consumers, obstacles they face, and what demographic profile makes them choose online purchase over offline. Mumbai that has been famous for its traditional bazaars and marketplaces driven by heritage is now transforming to a nexus for digitally affluent consumption, which makes it an apt ground for tracking this behavioural change.

The relevance of the understanding of consumer behavior is that the very objectives of e-commerce companies, marketers, and policymakers would be directly affected by the understanding of consumer behavior. With further expansion of online retail, businesses need to make their platforms and services customer-oriented. In many ways, this research has important findings regarding consumer motivations, preferences, satisfaction levels of online shoppers and deterrents to online buying behavior in Mumbai.

2. Objectives of the Study

The fundamental objective of this project is to analyse the behaviour of online shoppers in Mumbai and determine the influencers of the decision-making process

The specific objectives are:

- i. Consumers' preferences and their online shopping frequency to be examined.
- ii. To determine major motivating factors that include convenience, time saving, offers and variety.
- iii. To identify most preferred Mumbai consumers' platforms used for purchasing online.
- iv. Conducting the study on the preferred product categories, purchase frequency, and patterns of spending.
- v. To examine the challenges experienced by the consumers like dissatisfaction of the product, the delay in the delivery, problem with return, and payment security.
- vi. To propose the ways how to enhance the online shopping experience.

These goals are achieved by a thorough study of primary survey and statistical analysis that serve as the essence of this empirical research.

3. Methodology

Descriptive research design was utilized in this study because the purpose was to describe and explain the patterns of online shopping behavior vis-à-vis the consumers. The research methodology was both primary and secondary data. Secondary data was obtained from questionnaire question that was already supplied to residents of Mumbai who online shoppers are.

The questionnaire was of closed and multiple-choice formats to obtain quantitative data concerning shopping tendencies, demography and consumer perceptions.

100 respondents were used in this survey, and they were obtained through a random sampling method. The data collected was then arranged, tabulated, and analyzed by means of simple statistical tools such as percentages, frequency distribution among others. Graphs and charts were employed to represent important findings. Secondary data was collected from reliable sources for example journals, research paper and online articles to support the analysis.

This mixed method approach, therefore, made the findings reliable and valid which formed a clear picture of online consumer behavior in Mumbai.

4. Key Demographic Findings

Respondents' demographic profile sheds a lot of consistent insights:

Gender: 57% of the respondents were male while the remaining 43% was represented by the female respondents – a somewhat equal participation of the two sexes in online shopping.

Age: 46% of the responders were between the age brackets of 21-25, 24% of responders fell under the age brackets of 26-30. It verifies that younger age groups are the major consumers of online shopping.

Education: Majority of the respondents were highly educated where 41% were post graduates, 32% were graduates; which shows that educated people are more inclined to digital shopping.

Profession: 50% of the respondents were students while 27% performed in service-based professions which indicates that the online shopping is popular among the youth and working profession.

Monthly Income: 59% of respondents recorded a monthly income of less than ₹10,000, which means that even low-income class people cite value in online shopping as many of the items are listed at competitive prices and at attractive deals.

Table 1 *Demographic Profile of Respondents*

Variables and Categories	Frequency (N = 100)	%
Gender		
Male	57	57%
Female	43	43%
Age		
Below 20 Years	16	16%
21 - 25 Years	46	46%
26 - 30 Years	24	24%
31 - 35 Years	8	8%
Above 35 Years	7	7%
Qualification		
High school	21	21%
Graduation	32	32%
Post Graduation	41	41%

Others	6	6%
Profession		
Student	50	50%
Service	27	27%
Business	9	9%
Others	14	14%
Monthly Income		
Less than 10000	59	59%
10000 - 20000	11	11%
20000 - 30000	16	1 %
30000 - 40000	4	4%
Above 40000	10	10%

As shown in Table 1, Some of the variables that can feature in this table include gender, group of age, level of education, profession and level of income with their proportions represented in percentages.

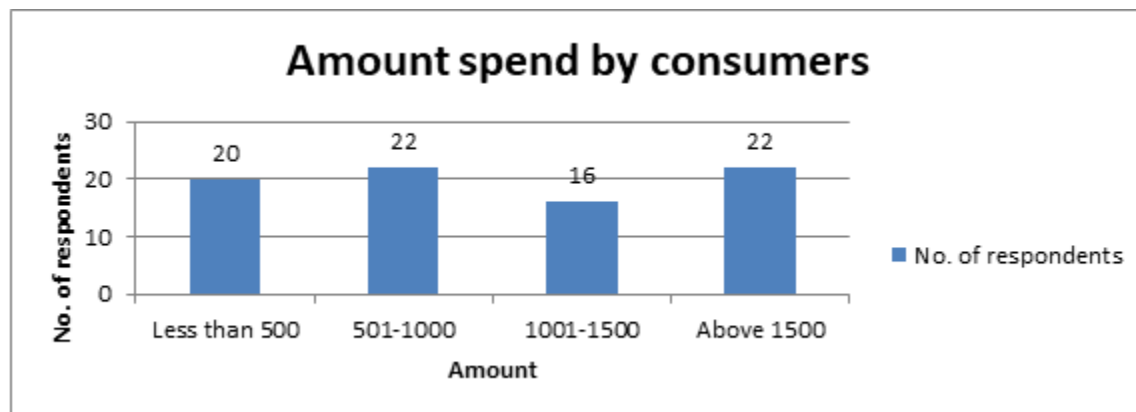
5. Shopping Behavior and Preferences

From the analysis, it was discovered that 80% of the respondents preferred online shopping as compared to traditional in-store shopping, the rest 20% were still depending on in-store shopping. This well demonstrates the increasing rate of acceptance of e-commerce platforms by Mumbai's population. As for the frequency at which the individuals engage in online shopping, 61.25% of the participants claimed to be shopping online "as per need" when asked, while others shop

monthly (18.75%), yearly (11.25%), or weekly (8.75%). This means that the majority of on-line purchases are necessities and not habitual or recreational.

When it comes to their spending behavior, in terms of online shopping, the results revealed that 27.5% of the consumers spend more than ₹1500, while 25% spend less than ₹500. This implies that the activities of the players in the online shopping are from budget-conscious buyers to big spenders.

Figure 1. *Monthly Online Shopping Spend*



As shown in Figure 1, Consumers prefer purchasing clothing (28.75%), electronics (27.5%) and accessories (12.5%). Fashion trends and technology seem to influence e-commerce the most.

If given the choice, 37.5% of consumers want to use Cash on Delivery (COD), 28.75% want to use a credit card, 25% want to use a debit card and 8.75% prefer net-banking. This demonstrates that confidence in digital payment is being built, despite the dominance of COD for the reason of its perceived safety.

6. Situations Influencing Consumer Preference on Online Shopping

Through the study, there have been identified key success factors that would help shape consumers' readiness to purchase through internet in Mumbai. However, going by the data obtained from the information provided, the highest motivators were convenience, time saving, ease of comparison, accessibility of products and home delivery. The time saving factor and avoidance of unnecessary physical visit to stores by individuals were reflected in the respondents' observation. In addition to this, the online platforms allow price comparison among different vendors, reading of their product reviews and also availability of more products to choose from.

The information depicted on Figure 2 of the project entitled "Motivating factors in online shopping" reports that the majority of respondents completely agreed that online shopping is convenient and a broad range of products is available for the purchase. And without forgetting that a sizable portion of the sample agreed that it is easier to locate the products on line as well as to compare the alternatives – it is much easier than in the regular retailing.

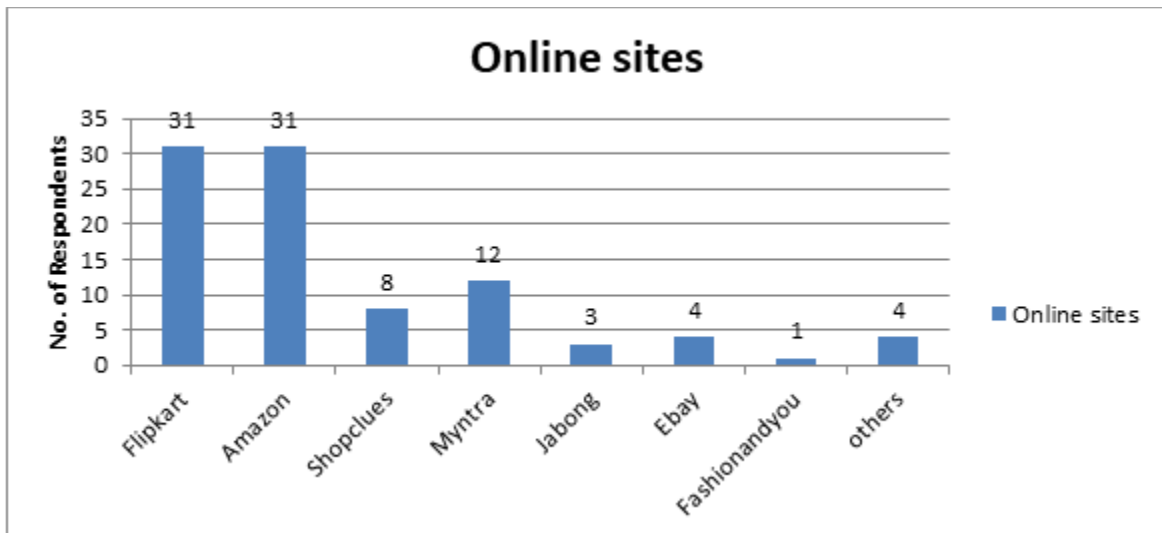
Interestingly, the most important thing, to which more than half of the respondents (58.8% strongly agreed) agreed was convenience; wider choice (60% strongly agreed) also came out as the most essential factor. Such characteristics as the design of a website, standard of customer service, presence of return options was called integral though not all respondents fulfilled by the implementation of such characteristics.

7. Preferred Platforms and Product Categories

There is a clear preference among the consumers in Mumbai with regards to shopping online with specific platforms. As it is shown in the project's Figure 3: The most popular online site that the customers use for online shopping, as is Amazon (31 %) and Flipkart (31 %). This goes in line

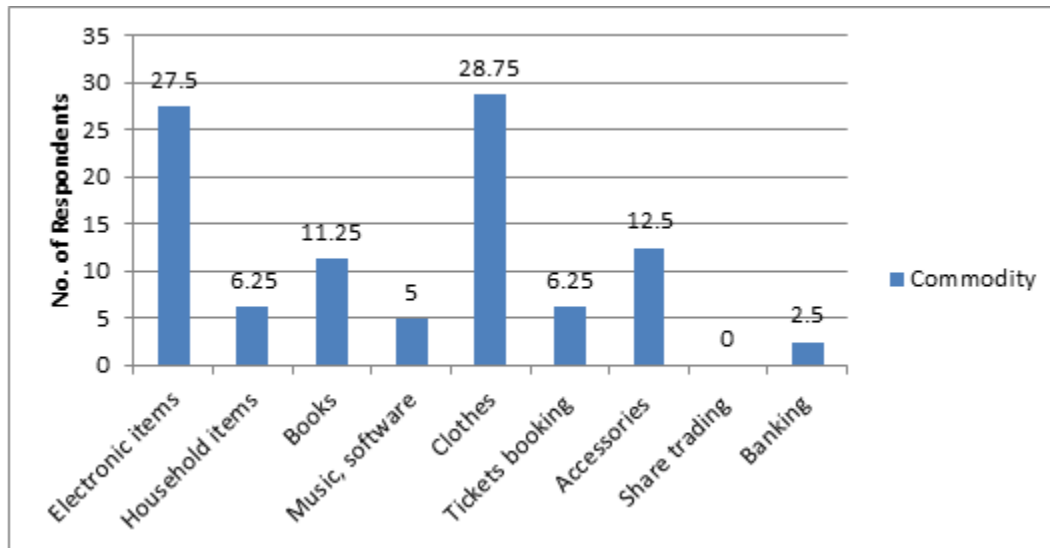
with national trends, where these platforms trench the Indian e-commerce market with their vast assortments, fast delivery, and customer-oriented policies.

Figure 3. *Online site mostly used by the consumers*



As shown in Figure 3, Some of the other platforms used were Myntra (12%), Shopclues (8%), and a lesser known platform like Jabong, eBay and Fashionandyou. From these, it is evident that consumers rely on established brands that provide reliability, better logistics and easier return/refund policies.

Figure 4. *Commodity mostly purchased from online*

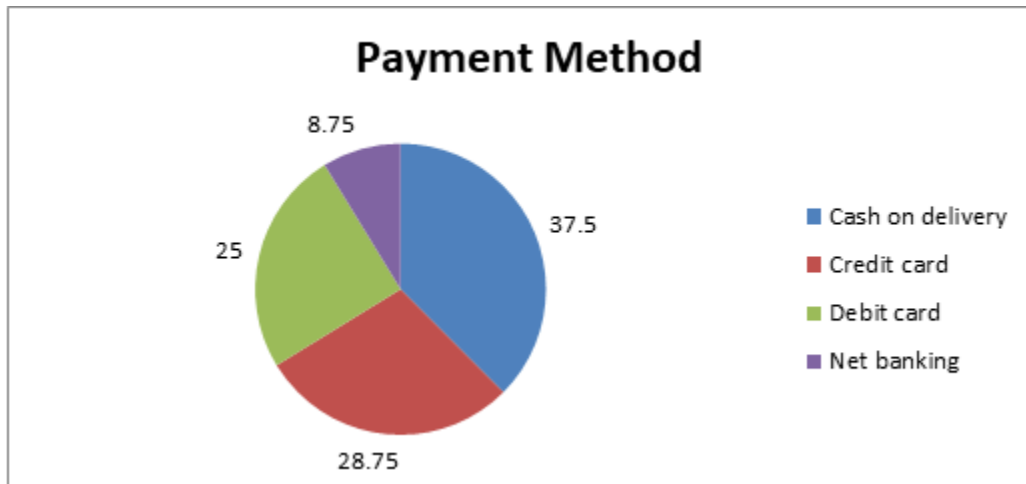


As shown in Figure 4, Based on the product categories, the study revealed that, they most frequent items purchased are clothing (28.75%) and electronic items (27.5%). Other popular categories were accessories (12.5%), books (11.25%) and household items (6.25%) – Figure 4: Commodity mostly purchased from online. This demonstrates that consumers are very inclined into buying items whose visual representation and specifications are easy to understand, and trust can be established over a period.

8. Payment Methods Used

Multiple payment modes have been preferred by the Online shoppers in Mumbai and there is significant inclination towards Cash on delivery (COD).

Figure 5. *Payment method mostly used by consumers*



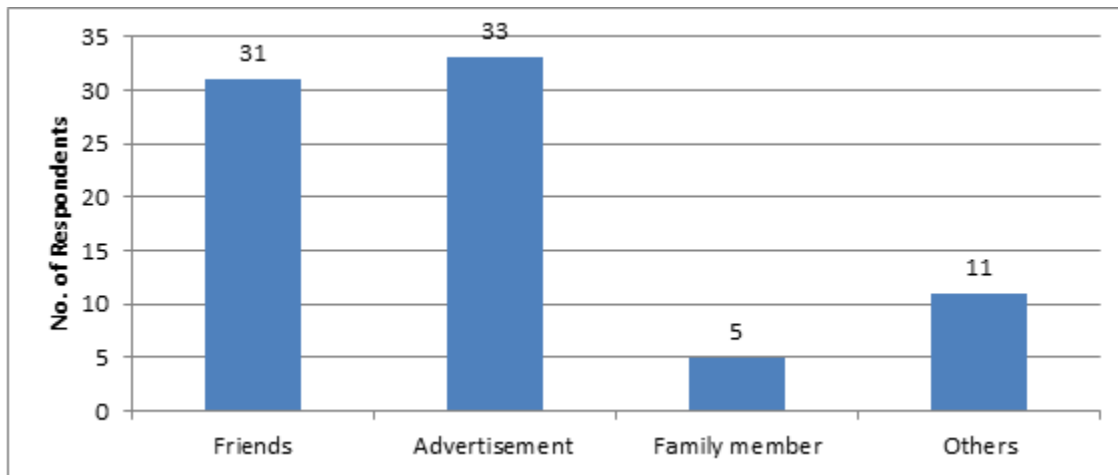
As shown in Figure 5: Method of payment most popular among the consumers in the online shopping, 37.5% of the respondents indicated their preference for COD followed by credit cards (28.75%), debit cards (25%) and net banking (8.75%).

Such a trend indicates that although digital payments are on improvement, there is still a high usage of COD based on concerns of security and habit. The low adoption of the net banking and digital wallets could be a sign of reluctance because of earlier incidences of fraud or a lack of belief in safe means of payment..

Interestingly, this has an implication as it pertains marketers who have to strike a balance between secure payment gateways and easy to use interface and have to provide incentives to use digital modes of payment.

9. Consumer Awareness Sources

In the analysis of the means through which consumers in Mumbai get to know about online shopping platforms, the findings state that advertisements (33%) and friend recommendations (31%) play the leading roles.

Figure 6. *Information about the online sites*

From the Figure 6, this can be clearly viewed. Details regarding the online sites where a mix of peer influence and digital marketing was observed to have a great influence on awareness.

Family members and other miscellaneous sources made a lesser contribution. The data demonstrates the power of word-of-mouth and targeted advertising efforts in building trust and visibility into e-commerce brands.

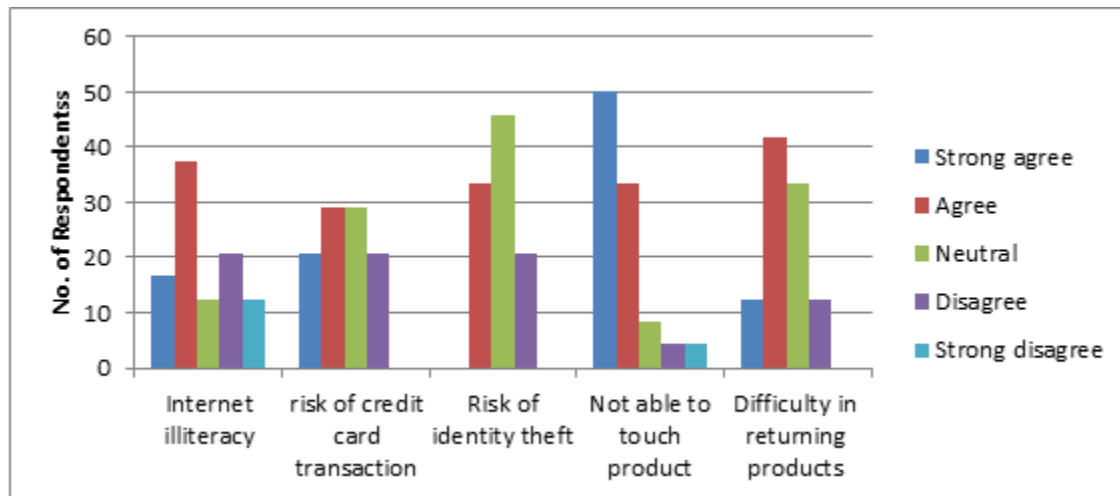
10. Challenges Faced by Online Shoppers

Although it is convenient and popular, there are still a few barriers that affect the consumer satisfaction that exist in online shopping. From survey data, the commonest of the concerns are:

1. Lack of physical examination of products before purchases.
2. The fear of fraud and stealing data on the internet while making transactions.
3. Problems with returning goods and requests for refunds
4. Uncertainty in product quality

5. Slow delivery and dissatisfactory logistics service

Figure 7. *Reasons for not purchasing goods and services from online*

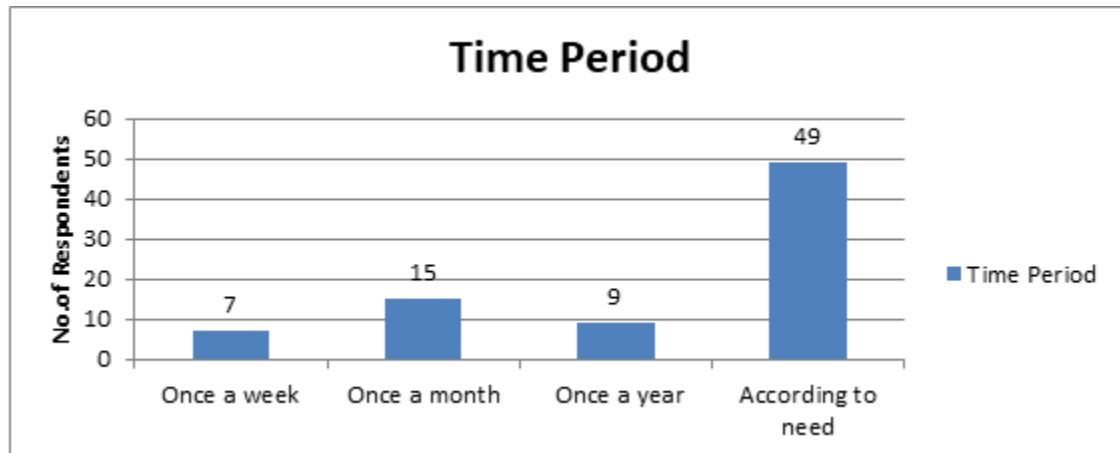


According to Figure 7: Arising reasons for not purchasing goods and services from online, the most important issue among respondents was non tangibility of products, 50% strongly agree and 33.3% agree. Credit card fraud and identity theft were also identified as the major concerns. Despite the fact that a lot of consumers are going digital, there's still a group whose members feel uncomfortable when it comes to payment safety, especially in older or less tech-adept users.

In addition, return policy was not satisfying for many and it was considered to be too long or too complicated for consumers. This erodes trust and repetitiveness in the acquisition, especially in expensive and sensitive products concerns.

11. Frequency and Spending Behavior (Reinforcement)

Figure 8. *Time period of shop online*



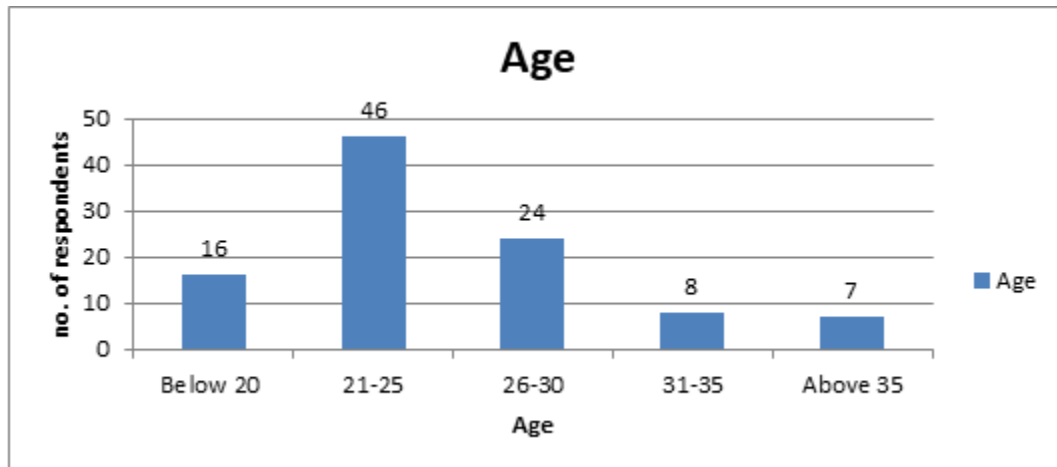
A reinforcing insight from Figure 8: Time period of shop online reveals that 49% of respondents shop online “as per need”, so that they shop practically and with purpose not as habit. A very small percentage shops once a week or even once a month. Durable or Monthly Spend type of data (Figure 1) finds a balance between low, medium and high spenders — thus proving that online shopping has indeed cut across all economic levels.

12. Interpretation of Key Data and Consumer Insights

On detailed analysis of the primary data obtained from 100 respondents in Mumbai, certain patterns in the online shopping behavior began to emerge. According to the research, the Mumbai consumers are also becoming more digitally savvy and receptive to trends in e-commerce. Nevertheless, the shift in behaviors regarding shopping from the traditional to the online one is not devoid of doubt and challenges.

From the interpretation of the dataset:

Figure 2. *Age-wise Distribution of Respondents*



As depicted in Figure 2, a young adult aged between 21 and 25 years is the most active participant of online shopping. Age-wise distribution.

Table 1. *Demographic characteristics of respondents*

Variables and Categories	Frequency (N = 100)	%
Gender		
Male	57	57%
Female	43	43%
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Below 20 Years	16	16%
21 - 25 Years	46	46%
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Monthly Income		
Less than 10000	59	59%
10000 - 20000	11	11%
20000 - 30000	16	1 %
30000 - 40000	4	4%
Above 40000	10	10%

- i. Professional people, in particular, postgraduates (41%) are more attracted to online platforms.
- ii. Students (50%) were the largest occupation segment, and this implied that there is significant weight of convenience, discounts, and adoption of tech in the choices played by this group.

- iii. Even though only 59% of respondents get less than ₹10,000 monthly, they are actively involved in online shopping. It indicates that low-income groups are being penetrated by e-commerce because of cheapness and discount offers.

In addition, shopping is more based on necessity than the frequency of occurrence. As presented in Figure 8, most consumers only shop online when they need something and do not look for leisure. This implies that e-commerce for Mumbai consumers is more of the utilitarian nature rather than the hedonistic one.

There is so much consumption at different levels that shown in figure 1 – an indication that, online shopping is not the preserve for one class of the population.

13. Key Findings of the Study

The following are the major findings from the study:

1. Online Shopping is Strongly Preferred: According to Figure 6, 80% of respondents indicated that they engage in online shopping more than an offline one thereby revealing a tremendous shift to digital amongst urban consumers.
2. Platform Trust: Amazon and Flipkart are equally liked (31-31% each) as depicted in Figure 3, suggesting the trust of consumers in the established e-commerce sites having good logistics and return policies.
3. Preferred Products: Online purchases are based on clothing and electronics. It is reasonable because these items provide better deals, explicit specifications through online, thereby eliminating physical inspection (Figure 4).

4. Convenience and Variety Matter Most: From Figure 2, most respondents strongly agree that one of the most important factors to them are the convenience, ease of finding products and having wider options.
5. Cash on Delivery Still Leads: COD is the widely acceptable mode of payment (37.5%) with credit/debit cards increasing in popularity. Digital trust is also on the up, albeit in a state of change (Figure 5).
6. Influence Comes from Guys and Ads Consciousness of online shopping is particularly influenced by advertisement (33%) and through orders by friends (31%) (Figure 6).
7. Barriers Remain: Although there has been the growth of digital in multiple ways, the lack of product touch, complications in return, issues of payment fraud are still the key problems (Figure 7).

14. Recommendations

From the results of the survey and data interpretation, the following recommendations are made to enhance Mumbai consumers' online shopping experience:

1. Improve Return and Refund Policies

As can be seen from figure 7, more consumers are reluctant to buy goods online because of cumbersome return procedures. E-commerce platforms should make it easier with an instant pick-up service, automatic refunds and clear return windows.

2. Build Digital Payment Trust

As COD continues to command dominance (Figure 5) then platforms should provide tutorials, reward points and guarantees to promote safer digital transactions. Two-factor authentication, secure gateways and the education of users are important.

3. Offer Local Language Support

The regional users, and especially the old and less educated ones, may find it difficult to use English-only apps. UI/UX in the Hindi language and other local languages will be helpful in boosting confidence and accessibility.

4. Hyper-personalization of Shopping Experience

Monitoring browsing and purchase habits of customers help platforms provide custom deals, relevant ads and personalized suggestions for increasing satisfaction and conversion.

5. Faster and Transparent Delivery

Several users complained about the delay with delivery. E-commerce firms should invest in local warehouses, optimize courier tie-ups and put in good real-time tracking.

6. Launch Student-Centric Campaigns

As half of the online shoppers are students (Table 1), companies should provide targeted coupons, sale in exam periods, and cash-back services for thrifty youth.

7. Customer Support Should Be Responsive

A helpdesk, with chatbot, WhatsApp, and call-back will help alleviate frustration when experiencing late delivery, refund, or damaged goods.

15. Implications for E-Commerce Platforms

The research illustrates the ways in which the e-commerce platforms can serve the urban Tier – II city consumer segment better. Especially, it is representative of increasing maturation of online shoppers of Mumbai who are price- and efficiency-conscious, while being demanding of and wanting transparency and security.

This is important to note for marketers and platform developers thereby; this means that:

- By spending money on mobile optimization, digital security, and functional logistics, a customer retention rate can be significantly improved.
- Posting real reviews, videos of demonstration, and AR/VR previews of fashion and electronics can alleviate doubts without the possibility to check it.
- It is possible to raise the user engagement and loyalty by combining gamified offers, festive sales, and social proof (referral bonuses).

Online shopping is no longer a phenomenon that caters to the metro cities only – the cities are catching up and fast and the platforms must gear up accordingly.

16. Conclusion

The present research “A Study on Consumer Behavior Towards Online Shopping – A Case of Mumbai City” provides deep understanding of changing online consumer behavior of a Tier-II city of India, Mumbai. Because of digital revolution in India, the number of consumers in non-metro cities is becoming involved in the e-commerce business. Traditional retail culture of Mumbai, along with its rich heritage, starts witnessing powerful calls of joining the online world – specifically among educated youth.

The analysis of the data filled out by 100 respondents shows several key insights into the behavior of people. To start with, online shopping is currently most popular (80% – according to Figure 6) among the users as compared to the offline shopping, and the main motivations for such preference consist of the factors of convenience, timesaving, and the availability of the diversity of products (Figure 2). Online systems are more useful to users for the comparison of products, availability of discounts and shopping from residential places.

Secondly, Amazon and Flipkart have monopolized the market (figure 3) because of their good reputes, logistics as well as consumer confidence. The top in the list of favored product categories are clothes, electronics and accessories (Fig. 4) or, in other words, real products for which price and brand have bearing are chosen online.

Third, the COD payment option is the most preferred one, though digital methods like payment via credit and debit cards are on the upswing (Figure 5). This means that despite the increase in use of internet, the developing trust in online payment security is still there.

Meanwhile, there are issues. There were numerous responses to indicate lack of confidence in buying as they could not inspect items physically, fear of digital theft and did not know how to

return items (Figure 7). Such fear creates friction in purchase process and hinders the older or less digitally confident consumer to purchase.

In summary, online shopping in Mumbai is experiencing tremendous growth, mostly because of the youth, availability of technology, and smart work by e-commerce companies. However, the matters of trust, inspection of products and reliability of refunds need to be resolved for the adoption to be fostered among all demographic groups.

17. Limitations of the Study

Though the findings do turn out to be quite enlightening, some limitations need to be kept in mind:

1. Sample Size Constraint

The study was conducted on a sample of 100 respondents. These 100 individuals might not be completely representative of the broader Mumbai population. A bigger sample might well include seemingly disparate views and offer niche-specific insights into consumer segments.

2. Geographic Limitation

Only Mumbai city is looked at in the research and rural areas and Tier-III cities in Rajasthan are excluded. People's daily behavior patterns in these regions may be quite different depending on how many people are connected to the internet.

3. Structured Questionnaire Format

After taking data using a formal questionnaire, expression of subjective views could be limited. When taking a survey, many individuals tend to give what is seen as the right answer, rather than revealing their real thoughts.

4. Lack of Qualitative Insights

Because interviews are missing, the research cannot represent the emotions or unique thoughts behind why people act one way or another.

5. Time-Bound Snapshot

The data was gathered quickly, when shoppers' decisions may have changed due to the reasons explained before.

6. Platform-Level Comparison Absent

Adding comparisons for returns, speed and using the app on each platform would have provided a more in-depth analysis of both Amazon and Flipkart.

18. Scope for Future Research

Since e-commerce in India is rapidly developing, there are a number of topics left for further study.

- **Platform-Specific Studies:** Future researchers may study how Amazon, Flipkart, Myntra, Meesho and others perform on service quality, customer care, user interface and experience and customer satisfaction.

- **Rural vs. Urban Comparison:** To see how consumers use online shopping, Mumbai's urban users should be compared to those in nearby rural areas, as they may not have the same opportunities to use the internet and speak different languages.
- **Longitudinal Study:** With a survey lasting a year, you can identify the effects of holiday and sales events on when people shop.
- **Post-Purchase Behavior Analysis:** Tracking customer satisfaction, the percentage of customers who come back to your store and how loyal they are to your brand can benefit e-retailers.
- **Impact of Social Media Influencers:** More and more, Instagram and YouTube influencers' impact on what people buy is becoming an interesting topic for research.

19. Final Wrap-Up

In this extended abstract, I highlight every important point in the project report following the necessary guidelines for academic and scientific work. It is now evident that traditional methods are often mixed with new trends in retail here in Mumbai

While shopping online may have some issues, it has significantly affected how we shop. The industry is being driven by clients from Mumbai, a Tier-II city, as well as the major ones. Nowadays, marketers, social media platforms and those who set policies should understand how consumers behave differently.

Based on findings from this project, e-commerce platforms could improve their services for customers and help India embrace e-commerce at a faster pace.

DECLARATION

I, Vikram Kumar Gupta, a student pursuing Bachelor of Computer Application at Amity University Online, hereby declare that the project work entitled “Behavioral Analysis of Online Shopping” has been prepared by me during the academic year 2025 under the guidance of Pawan Gupta, senior analyst, Vidyalankar Business School, Mumbai. I assert that this project is a piece of original bona-fide work done by me. It is the outcome of my own effort and that it has not been submitted to any other university for the award of any degree.



Signature of Student

CERTIFICATE

This is to certify that Vikram Kumar Gupta of Amity University Online has carried out the project work presented in this project report entitled “Title of Project Report A Behavioral Analysis of Online Shopping” for the award of Bachelor of Computer Application, Data Analyst under my guidance. The project report embodies results of original work, and studies are carried out by the student himself/herself. Certified further, that to the best of my knowledge the work reported herein does not form the basis for the award of any other degree to the candidate or to anybody else from this or any other University/Institution.



Signature

(Name of Guide)

(Designation)

TABLE OF CONTENTS

ABSTRACT

EXTENDED ABSTRACT

DECLARATION

CERTIFICATE

CHAPTER 1: INTRODUCTION

1.1 Introduction

1.2 Statement of the Problem

1.3 Objectives of the Study

1.4 Significance of the Study

CHAPTER 2: LITERATURE REVIEW

2.1 Introduction to Literature Review:

2.2 Technology, Trust, and Delivery Expectations in Mumbai

2.3 Platform Loyalty, Brand Switching & Youth Preferences in Mumbai

2.4: Summary and Emerging Literature Gap

CHAPTER 3: RESEARCH METHODOLOGY

3.1 Research Objective

3.2 Research Problem

3.3 Research Design

3.4 Data Collection

3.5 Type of Data Used

3.6 Data Collection Method

3.7 Sample Technique

3.8 Statistical Tools

CHAPTER 4: DATA ANALYSIS AND INTERPRETATION CHAPTER

CHAPTER 5: FINDINGS AND CONCLUSION

5.1 Findings

5.2 Challenges Faced by Consumers

5.3 Conclusion

CHAPTER 6: RECOMMENDATIONS AND LIMITATIONS

6.1 Recommendations

6.2 Limitations of the Study

BIBLIOGRAPHY

Annexure 1 – Questionnaire

CHAPTER: 1 INTRODUCTION

1.1 INTRODUCTION

Online shopping has had a huge impact on how city dwellers relate to the market, especially in fast-growing cities like Mumbai. The widespread growth of digital infrastructure and more smartphones has led Mumbai residents to shop on the internet for their daily needs. In Mumbai today, you can order groceries late in the evening, catch special electronics bargains during online sales and compare different fashion trends on several shopping apps.

What's happening in e-commerce is more than a worldwide trend—it's even trending at the neighborhood level. With time short and lots of traffic in Mumbai, online shopping is a great way to reach products quickly from home. E-commerce companies in India increasingly target those in cities who like convenient, quick and flexible methods of payment.

An advanced idea from the late 20th century is now the preferred way for Mumbaikars to shop on the internet. It's now free of surprises to shop for shoes or new phones from our houses in Borivali or our workspaces in Lower Parel. Because of the shift, conventional stores are now trying new techniques and relying on technology to remain in the game.

Online Shopping

What is Online Shopping and How its Functionality has Developed Customers can buy online by ordering from websites or apps designed for internet shopping. By using the app, you can see online lists, see how products differ, read customer reviews and buy items without leaving the app. Because life in Mumbai is busy, digital advancements have made it much easier for people to get tasks done.

The idea of online shopping began in 1979 when Michael Aldrich showed how to link a modified TV to a computer that processed transactions over the phone. An idea that started as a novel experiment is now a huge business supporting millions worldwide. It was only after the early 2000s and the growth of broadband internet in India that transformation started to be visible, with really fast growth happening during the 2010s thanks to smartphones and online payments.

Many Mumbaikars rely on online shopping more than just for shopping—it's a way of life. Because of long working days, unplanned trips on crowded highways and lots of people living near stores, shopping can be tiring. Instead, online ordering gives them the choice to have things delivered in the morning for work or buy electronics as they have their lunch break. Amazon, Flipkart, BigBasket, Blinkit and Nykaa have all provided instant delivery, discounts and simple designs that mobile users like.

Besides, the mix of people in Mumbai affects online shopping habits. Many people in Powai and Andheri, both at work and in college, as well as those at home in Dadar, rely on online shopping because it is affordable, easy and gives them more out-of-town products than what they'd get in stores nearby.

What Shapes Online Shopping in Mumbai

Many important elements help shape how people in Mumbai behave towards online shopping. Since Mumbai is a very busy city, having things that are fast, easy and dependable is key to the city's residents.

let's examine what makes Mumbaikars prefer online shopping.

1. **Accessibility Whenever You Want:** Many people in Mumbai choose online shopping because it is convenient. Due to crowded streets and trains, buying from physical shops usually means spending a lot of time. On the internet, users don't have to worry about going to a store; they can explore what's on offer, compare choices and order directly from wherever they are. In parts of Navi Mumbai or Mira Road, not having close stores makes doorstep delivery very attractive.
2. **Timesaving in a Busy City:** One of the most important things you have in Mumbai is time. With most employees working long hours at the office and traveling daily, people seek out practical solutions. Shopping online lets them avoid waiting in lines, crowded stores and delays on the road. People can shop on Zepto at midnight or plan their festival purchases ahead on Flipkart, as the stores never close.
3. **Beautiful Websites and Mobile Apps:** Websites and mobile apps are a major part of the system. Digital stores like Amazon, Meesho and Flipkart are built to be user-friendly for browsing and shopping online. Customers who use technology, including those skilled with mobile phones, find the filters, suggestions, order tracking and one-click payment very attractive. Many people in Mumbai find it attractive that apps include support for different languages.
4. **Security and Trust in Transactions:** The fact that security is important shapes many people's decision to shop online, especially since digital use is high in cities like Mumbai. Even though COD is widely preferred, there is now a quick growth in accepting online payments. That's possible because platforms apply secure gateways, OTP and two-step checks to secure their users. Anyone living in Mumbai, as bank users, is easily convinced to engage in digital payments. Using apps like PhonePe, Paytm and Google Pay increases

our sense of security. Having the ability to pay instantly, get refunds and reach customer service at any time has helped lower people's concerns about fraud.

Advantages of Online Shopping

1. **Plenty of Choices:** You can find much more variety of products on online shopping sites than you generally would in most stores. If you shop online, you'll be able to discover brands and goods that are not found in your town. Just a click can bring you up-to-date items from other states. E-commerce applications and websites help you discover what's popular by giving you recommendations and letting you sort out items.
2. **Discounts:** Some shopping platforms organized as Flash Sales, Super Saver Days and Buy More, Save More deals to provide customers with discount prices. At festive or sale times, most online sites add special promo codes, coupons and cashback programs, making them an attractive option for many. It's still possible to check the price of a product online at a nearby store to confirm you're saving money.
3. **Time and Money Saving:** When you shop online, you can skip the store and long lines. Since things move quickly in Mumbai, shopping online helps you avoid wasting time and resources. You won't have to pay for travel and within a few days, what you bought will be delivered straight to your door. Getting things delivered right to you is simple and very relaxing.
4. **No Crowd:** Shopping online saves customers from being in crowded shops and in endless lines. You can spend your time at home, check out available goods and place your order whenever you want without any noise or chaos. You find this useful when it's festival or

sale season in Mumbai, since everywhere is full of shoppers. When you shop online, you do not have to hurry and enjoy peace of mind, too.

5. **Reviews:** Reading feedback from customers who've already bought it online is a good idea before you make a purchase. You will often see photos, comments on quality and information about the shipping experience, as well as an opinion on whether the product is a good purchase. So you can pick better items and avoid buying fakes. Hearing what other shoppers think is very rare in stores, but online it can be done in a moment.
6. **Certified Products:** On many online platforms, you have the option to purchase items that were not sold the first time, were tested and repackaged. You can buy these items at a cheaper rate and they'll still do the job. Buying certified refurbished gadgets helps you cut costs and still get high quality devices. Sale items are popular among those looking for great value and strong quality at the same time.
7. **Easy Return and Refund Process:** The return policy is one of the best things about shopping online. If you find that your item is damaged, it's not what you expected or you just no longer want it, you're usually allowed to return it on most platforms. After your return is sent out, the money you are owed will be refunded quite quickly. Because of this, buyers feel more secure about using your company which strengthens trust among your users. Certain items can't be returned to stores, but online buying makes it easier and more secure to get your money back.
8. **Price Comparison:** You can compare the same item's price on various websites by shopping online on Amazon, Flipkart, Meesho and Ajio. It allows you to know when and what to buy for the best price. In some cases, the platform lets you know about more

affordable or related items. Looking for all your goods in one place helps you save both time and money because you don't have to check out multiple shops.

9. **Availability 24×7:** Online shopping is especially convenient because it is available to us around the clock, every day. If you want food at midnight, in the morning or at lunch at work, e-commerce sites are ready to deliver. Browse a massive collection, sort by filters, see the best prices and order whenever you like—there's no need to be there at opening hours. Because they can use it 24 hours a day, people with busy or odd schedules usually find online learning very convenient. Mumbai's crowded schedule and unpredictable working hour make flexibility a big benefit. If you're on a train or hanging out at a café, you can still do your shopping with your phone.

Disadvantages of Online Shopping

1. **Unable to Assess the Quality:** Online purchasing can be difficult because you can't handle the item before planning. If you are buying clothes online, you won't know how soft the fabric is, how well the item is stitched or how it will fit you until after it arrives. People in Mumbai have noticed that the item rarely matches what they saw in the online pictures. It happens majority of the time in the fields of fashion and accessories.
2. **Encourages You to Buy More:** Many people add additional items while shopping online simply to get free delivery or a good limited-time deal. As a result, you may waste money you didn't plan to. Not only can delivery cost more, but the products themselves often end up costing more than they would at a store nearby. Trying to

add one more thing to your purchase can quickly make your budget expense turn costly.

3. **Negotiation:** Since you shop online, you won't get a chance to negotiate like you do in local markets or on the street. Whatever you see on the screen is your final ticket price. Although there are several company websites that have coupon codes for sale or special discounts, you don't get the chance to work out a better price with a human. If you like to bargain on prices, you might not like that clothes here are set at single prices.
4. **Dealing with Problems:** Whenever you have an issue with your order, you can't interact with anyone right away in person. Your only options are to contact customer service through chatbots, emails or the phone center and sometimes they do not answer straight away. At local stores, support is immediate, but on the internet, it may take longer, and your message will need to follow a set reply pattern.
5. **Hassled Return Policy:** Most websites allow you to return or exchange items, the process is not always straightforward. In a few situations, consumers are asked to pack what they bought, print a return label and cover the delivery costs. It gets frustrating, especially if you anticipate sailing through the process. Since Mumbai residents often have very little time, all the extra required action can end up tiring them and turning them off from voting.
6. **Products May Be Out of Stock:** There are times when your order will not be ready, as the product you picked was not available. A backorder means that, usually, the product is quickly bought by customers or comes up during holiday sales. It feels

most unfortunate when you wait for something that was supposed to be a gift or promised right away. You either take a long time serving your customer or you have to give them up which makes them unhappy.

7. **Delivery Speed:** Unlike shopping in a store, you don't get your item right away when you buy it online. Delivery times may change because of the seller, your location or the delivery service used. You can have some items delivered quickly, especially in South Mumbai or Andheri, but usually other orders take approximately 3 to 7 days. Not all customers can wait for a long time to get their products.
8. **Minimized Instant Satisfaction:** You must wait to use your new item once you've bought it online. You should not ship items until they reach your front door. Unlike online purchasing, when you go to a store you get the product straight away. Delays are sometimes frustrating when it comes to receiving clothes, gadgets or gifts you're eager to have.

1.2 Statement of Problem

This chapter outlines the specific challenge addressed in this study. Online shopping has grown to be an important way for city dwellers in Mumbai to make purchases. When internet and smartphone use go up, most people prefer buying products online because it is easy, fast and offers a greater choice. While many people use online shopping, it still encounters some big difficulties. Sellers find that many buyers are still unsure about product accuracy, fast delivery, returning goods and trust.

There are also concerns from customers regarding online scams, false websites, fraudulent payments and misleading adverts. As a result of these problems, online shoppers now have fewer positive feelings about shopping online. Even though marketing is strong and buying has grown online, some still visit shops to feel more confident and secure.

The aim of the study is to discover what consumers think of online buying, what worries them and what can make them feel secure online. Researching Mumbai consumers will bring out the positives as well as the negatives in how urban customers shop online.

1.3 Objective of The Study

The purpose of this study is to investigate how consumers think about shopping on the internet and what affects their decision making. The main goals of the research include:

- To analyze what consumers, think about and choose when purchasing good or services online.
- To know which things such as price, how easy the purchase is, types of products offered, the look of the site and safety of payments, affect what customers choose.
- I'd like to know why people prefer shopping online and what their shopping habits are.
- To examine consumer behavior in Mumbai, a city that moves quickly and sees new internet-based trends affect how consumers buy.

1.4 Significance of the study

This study adds essential knowledge to the current understanding of the issue. As a result of this study, e-commerce companies, marketers and sellers will learn what affects peoples'

decisions to buy or not buy online. Because today's buyers are smarter and online, marketers require more insight into what they desire and expect.

The findings will explain what drives customers to shop online, and companies can use this information to improve their strategies. When businesses know how their customers act, they can provide better services, make people happier and ensure their shopping journey meets every expectation.

CHAPTER 2. REVIEW OF LITERATURE

2.1 Introduction to Literature Review

Due to more people having smartphones and internet access, Mumbai has seen a big change in the way its consumers shop. Retail is now mostly digital among people who are young and comfortable with the latest technology. Experts have tried to identify why this type of behavioral change occurs.

Patil & Deshmukh conducted a study in 2020; The authors focused on how people shop online in Mumbai's suburbs in their research. Research indicated that online shopping is chosen by more than 70% of young people aged 18–30, instead of going to the market. Customers said they preferred online shopping because it was fast, well-known brands were available, and it was easy to have things delivered quickly.

But the study also noted that security and trust are big issues for new users. A lot of people were hesitant to enter their card information online, thinking they might fall for product scams. This is also the case in Mumbai's neighborhoods with middle earnings, as people often avoid doing online transactions, even with good computer skills.

Mehta and Iyer (2019); Mehta and Iyer found, after examining e-commerce use by workers in South Mumbai, that convenience and being available around the clock were the two biggest factors. It became clear that people employed in Nariman Point and Lower Parel would generally place orders late in the day because they work very busy schedules. The report found that Mumbai's consumers appreciate having time flexibility and shopping from any location.

Sharma & Kulkarni (2018); When Sharma and Kulkarni analyzed payments among Mumbai shoppers, they found that people's income is the biggest factor in determining which online payment method they choose. Of consumers who earn less than ₹40,000 per month, many still choose COD because they are distrustful of digital platforms and think a transaction could fail. People who make high incomes, for example in Powai and Bandra, were often pleased by the speed and ease of using digital payment methods.

According to the research, customers trust a company most when it gives reliable refunds and has high-quality customer service. Individuals who received a refund were found to return to the same platform, indicating that support after purchase keeps people using it.

Joshi & Nair (2021); Joshi and Nair recently looked at how people in Mumbai feel when they must return or trade what they ordered from the internet. Overall, the survey found that nearly one-third of the experts had sent something back in the past half year. Several people reported damage to products and the wrong size of clothing and electronics. According to the study, Amazon and Nykaa earned more satisfaction because they offer an easy returns policy and fast customer service.

There have been complaints that some orders from local vendors weren't always easy to pick up, packages arrived looking bad, and refunds failed to help most of the time. Because the need was not met locally, many Mumbai shoppers started spending more on shopping from popular websites.

According to the study, companies shouldn't abandon their customers once the sale is done. Delivery, return and refund guidelines are always looked at by Mumbai shoppers before deciding on an e-commerce site.

Bhatia & Fernandes (2020); Bhatia and Fernandes discovered that there are important differences in online shopping behavior between men and women living in Mumbai. Guys were looking for electronic gizmos, gadgets and big appliances, while women chose clothing and office or home supplies. Females in these neighborhoods reported spending more time considering each purchase than did men..

Research showed that many women left their shopping carts because they couldn't find discounts, soaring prices or information on returns. Unlike women, fewer men take time to explore options. Instead, they find the easiest product that fits their needs.

Khan & Borse (2022); Khan and Borse carried out a recent investigation focused on mobile application usage and its effect on how often Mumbai's young people shop. The research showed that three-quarters of people ages 18 to 28 preferred making online purchases through mobile apps compared to visiting websites. Flipkart, Meesho and Zepto draw young Mumbaikars in with things like app-only offers, fast notifications and one touch payment.

Frequent buyers were shown to have even greater loyalty to platforms that offer faster responses and quick delivery. Delivery time was very important to Lower Parel, Andheri and Fort residents and they chose their platform depending on how soon their order would arrive.

Mobile shopping first was also noticed among users who are not considered advanced tech gurus. Apps for groceries, medicine and household items are now used by Mumbai's homemakers and senior citizens, who find it easy because of clear interfaces and support for their languages.

2.2 Technology, Trust, and Delivery Expectations in Mumbai

Mumbai's obsessed with e-commerce right now, and honestly, tech is running the show. Everybody's glued to their phones—Kulkarni & Rajadhyaksha (2021) say over 75% of folks buying groceries online in Mumbai do it through apps. Not exactly shocking, right? Get in, get out, swipe, tap, boom—groceries at your door. No one's got the patience for clunky websites or apps that crash more than Mumbai's trains during rush hour.

People are picky, though. If an app lets you track your delivery in real time, reorder with a single tap, or feels like it knows what you want? That's the sweet spot. But if it lags or makes you click seventeen times just to buy milk? Nah, people bounce—even if there's a discount waving at them.

Now, trust is a whole other beast. Mumbai's chaos means everyone's banking on reliability. Mehta & Kamble (2022) point out that over 60% of shoppers are cool with paying upfront—as long as the app's got solid refund policies, glowing reviews, and payment systems that don't make you sweat bullets. UPI, OTPs, all that jazz—it's gotten feel airtight.

And let's not forget about speed. If you're delivering dal and Dahi, you better show up in under four hours—or else. Some apps, like Zepto or Swiggy Instamart, are basically superheroes in places like Andheri West, Bandra, or Lower Parel, dropping off essentials in ten minutes flat. It's wild.

So, bottom line? In Mumbai, if your grocery app isn't fast, secure, and dead simple to use, nobody's sticking around. People have options, and they're not scared to swipe left.

2.3 Platform Loyalty, Brand Switching & Youth Preferences in Mumbai

Man, brand loyalty in Mumbai's online grocery game? Pretty much hanging by a thread these days. Folks bounce around apps like they're playing musical chairs—BigBasket one week, Zepto the

next, Blinkit if there's a fat discount. Price drops, better stock, or just a smoother checkout? That's all it takes. I mean, Desai and Merchant (2022) dug into this and found almost half the shoppers are juggling two or more apps in a month. Half! That's wild.

And let's not pretend everyone's rolling in cash—middle-class families and college kids are out here pinching every rupee. People in Dadar, Ghatkopar, Kurla? They're cross-checking prices for even the tiniest purchases. Tiwari & Bafna (2023) straight-up found that 7 out of 10 folks from lower-income groups would ditch their cart if they spotted a better deal elsewhere. Even if delivery is a tad slower. That's some next-level bargain hunting, honestly.

Now, young people? Don't even get me started. Bandra, Andheri, Powai—these places are crawling with students and young pros glued to their phones. They want stuff now, not tomorrow, and they want apps that don't look like they were designed in 2002. Loyalty points? Meh. Cashback? Whatever. Give them an app that's fast and slick—like Zepto with its blink-and-you'll-miss-it delivery—and they'll pay a premium, no sweat.

Still, there's a twist. Some research (shoutout Rane & D'Souza, 2022) says that if brands put in the work—personal touches, live tracking, deliveries that don't flop—people do come back. South Mumbai folks, for example, swear by BigBasket's reliability, even if it's not the Usain Bolt of deliveries. So, yeah, consistency isn't dead.

Bottom line: Mumbai's e-grocery scene is a wild mix of price wars, tech obsession, and impatient young blood. If brands want people to stick around, they better bring their A-game—think wallet-friendly, lightning-fast, and a user experience that doesn't make you want to chuck your phone. Otherwise? There's always another app.

2.4: Summary and Emerging Literature Gap

The literature currently in publication makes it abundantly evident that a variety of factors, including price awareness, app usability, delivery speed, and trust, all have an impact on Mumbai residents' adoption of online grocery shopping. There is a noticeable dearth of hyper-local research that focuses on metro-specific issues like traffic congestion, different income groups, and housing infrastructure, even though numerous studies have examined consumer behavior at the national level. More research on Mumbai's user behavior by suburb, platform accessibility in impoverished areas, and the contribution of regional language options to increasing user engagement across all socioeconomic classes could all be beneficial for future scholarly work.

CHAPTER: 3 RESEARCH OBJECTIVES AND METHODOLOGY

In this chapter, the research methodology that serves the study is explained and discussed in-depth. It entails an explanation of research aims, the research problem, and the design of the study. The chapter then describes the type of data to be used, data collection methods, and the instrument used in gathering primary data. It also discusses sample size and sampling technique and the population targeted by the study. Lastly, statistical tools used for data analysis and drawing of conclusions are explained, allowing for a systematic study of consumer behavior toward online shopping.

3.1 Research Objective

Our research project aims to evaluate the different features of online consumer behavior, especially in regard to people living in Mumbai city. Because online shopping is rapidly growing in India, it is necessary to investigate consumer perspectives on these systems, the reasons behind their purchasing choices, and the problems they encounter online. Gaining knowledge from real consumers will be achieved using a well-designed questionnaire, after which their responses will be studied using statistical tools.

This study aims to achieve the following objectives

- i. Examining how often Mumbai residents' shop on the internet, which sites they prefer, their regular purchases, and why they shop online is needed. • The research aims to find out which factors, like convenience, timesaving, ease of comparing products, variety, attractive deals, and home delivery, play the most significant role in driving

consumers' decisions to shop online, and will compare these effects according to age, gender, and income. • The study seeks to determine which online shopping platforms (such as Amazon, Flipkart, or Myntra) are most popular, which products consumers choose to buy online most frequently (e.g., electronics, clothing, books), and the payment methods consumers generally trust (like Cash on Delivery, UPI, Credit/Debit Card, Net Banking).

- ii. To study the critical problems and hurdles that shoppers experience during online purchases, with a focus on online payment protection, product quality, problems with product returns, delay in transportation, and overall familiarity with the online shopping process.
- iii. Our goal is to give online retailers and marketers recommendations for raising customer satisfaction and resolving common obstacles that may prevent consumers from shopping online.

3.2 Research Problem

Because internet and digital services are expanding so quickly in India, a growing number of residents are choosing online shopping as a simple way to buy what they need. Most individuals, nevertheless, are hesitant to buy online, because they cannot be certain if products are dependable, payments are protected, they will receive goods in time, or returns will be simple. In addition, customers often select in-store shopping because they are uncertain about internet safety and may lack the computer literacy needed for online transactions. An aim of this research is to investigate how shoppers in Mumbai feel about purchasing goods online and why they do or do not make online purchases. The focus of this research is to understand what influences customers to buy

online, what problems they confront, and how satisfied they are with their purchases. This study investigates how consumers shop and what discourages them from buying online to help electronic commerce businesses serve their customers better.

3.3 Research Design

This study follows a descriptive research design to understand consumer behavior in online shopping. I just want to see how people actually shop online without poking or prodding them. No experiments, no weird tricks—just watching and taking notes, basically.

Out of the two big research flavors—quantitative and qualitative—I picked quantitative. Why? Numbers don't lie (most of the time), and I'm after cold, hard data, not just vibes or random opinions. With this approach, I can measure stuff and get some legit patterns, instead of just guessing what's going on. Structured responses, clear results—no nonsense.

3.4 Data Collection

In data collection, researchers usually employ primary or secondary methods. We chose questionnaires as our preferred method to collect primary data in our research. The first data gathered will come from a questionnaire I designed myself.

3.5 Type of Data Used

Primary Data

We obtained the primary data by asking our respondents questions through a structured questionnaire. The questionnaire was designed to find out in detail about what customers like, dislike and think about online shopping. Information for this study was gathered randomly from a

group of 100 individuals in Mumbai. The main value of this data is that it comes from observing the people who make up the market.

Secondary Data

Results of the research have been corroborated with information from additional, valid resources. Information here is pulled from reliable academic journals, published journal articles, market surveys, news from websites and information issued by the government. There are many sites that focus on cyber news. My research included insights into history data, diagrams and online retail events in India.

3.6 Data Collection Method

The samples were collected from consumers' and buyers of online shopping of Mumbai city and keeping in view the limitation of time and resources we must decide to take the samples of 100 respondents. Questionnaires were distributed to the respondents and enough time given to respondents to fill the questionnaire to reduce sampling error. Questionnaire is constructed in structured and simple language to reduce the risk of ambiguity.

3.7 Sample Technique

It is not possible to study the whole universe; it becomes necessary to take same sample from the universe to know about its characteristics.

1. Sample Units: Consumers of online shopping.
2. Sampling Technique: Random Sampling.
3. Research Method: Structured Questionnaire.
4. Contact Method: Personal interview.

3.8 Statistical Tools

The statistical processes in a study are planning, designing, collecting data, analyzing, making sense of the analysis and reporting the results. The use of statistics gives insight and explanation to the raw information. Precise results and conclusions are obtained only with the use of correct statistical tests. The following section provides a look at the standard tools used during research. The piece goes over what variables are, the concept of quantitative versus qualitative variables and some measures of central tendency. You will find details on sample size estimation, power analysis and statistical errors in the information. In the end, a section explains the parametric and non-parametric tests typically used to analyze data appears.

Introduction

Statistics is used in science to gather, organize, analyze data and infer ideas from a sample to the whole population. This can only be achieved with a proper planning of the study, selecting samples in the right way and using suitable analysis methods. Understanding statistics well is important for effectively designing either an epidemiological study or a clinical trial. If statistics are handled incorrectly, the results can be wrong, sometimes leading to something unethical.

Variable

A variable is a trait that differs from one person within a population to another. Things like height and weight are measured with a scale, provide numbers and are therefore called quantitative variables. Sex and eye color provide information that is qualitative, and they are therefore called qualitative variables.

Descriptive And Inferential Statistics

Descriptive statistics are designed to describe the links between variables in a chosen group or population. Descriptive statistics tell us about the main features of data by showing us the mean,

median and mode. These statistics use only some information from a population to understand and draw conclusions about the entire population. It works when you cannot look at the individual members of the entire group.

Descriptive statistics:

We measure the middle part of the distribution by its central tendency and spread at the edges by its degree of dispersion.

Inferential statistics:

Inferential statistics involves methods that help form ideas about the population by studying sets of data from the population. Along with inferential statistics, statistics also has descriptive statistics. Inferential statistics lets us understand the population and descriptive statistics gives a clear overview of the details included in the data.

The main types found in inferential statistics are hypothesis testing and regression analysis. Inferential statistics assume that the sample represents the entire population properly. In this article, we will explain what inferential statistics means, cover its main forms, give some practical examples and pick out vital formulas.

CHAPTER: 4 DATA ANALYSIS AND INTERPRETATION

1. Demographic characteristics of the Respondents

Table 1. *Demographic Profile of Respondents*

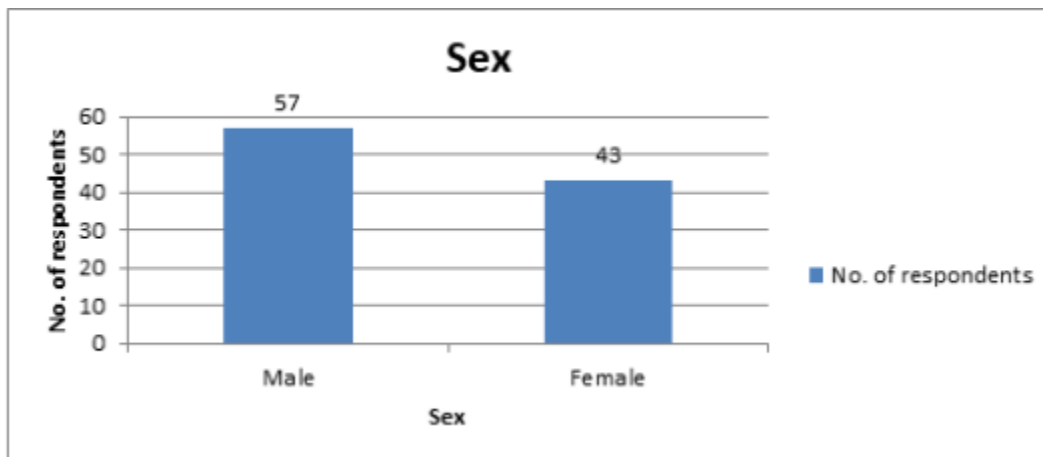
Variables and Categories	Frequency (N = 100)	%
Gender		
Male	57	57%
Female	43	43%
Age		
Below 20 Years	16	16%
21 - 25 Years	46	46%
26 - 30 Years	24	24%
31 - 35 Years	8	8%
Above 35 Years	7	7%
Qualification		
High school	21	21%
Graduation	32	32%
Post Graduation	41	41%
Others	6	6%
Profession		
Student	50	50%
Service	27	27%

Business	9	9%
Others	14	14%

Monthly Income

Less than 10000	59	59%
10000 - 20000	11	11%
20000 - 30000	16	16%
30000 - 40000	4	4%
Above 40000	10	10%

Figure 1. *Gender distribution of respondents*



Out of the 100 respondents, 57 (57%) were males and 43 (43%) were females.

Figure 2. *Age distribution of respondents*

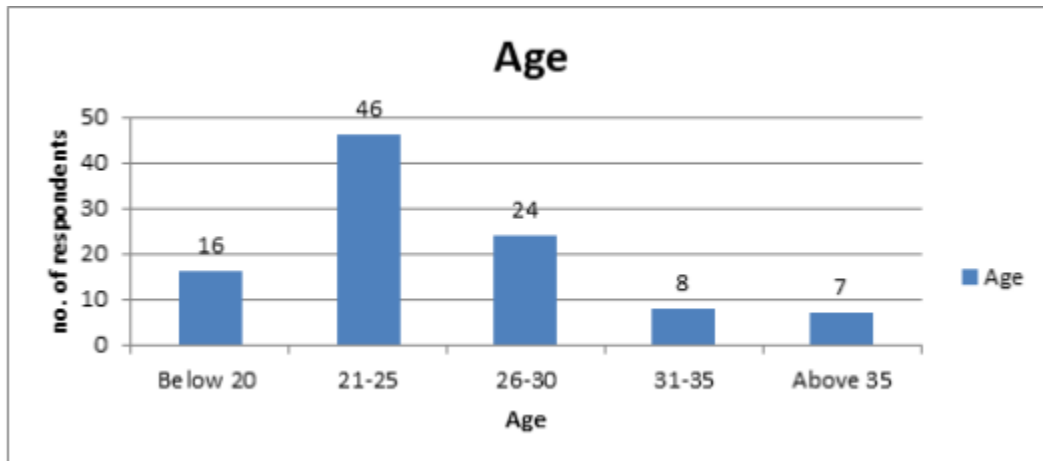


Figure 2 shows 16(16%) were below 20 years, 46(46%) were between the age of 21 to 25 years, 24(24%) were between the age of 26 to 30 years, 8 (8%) were between the age of 31 to 35 years, 7(7%) were above the age of 35 years. This study is based on the age group of consumers from below 20 to above 35 years.

Figure 3. *Qualification*

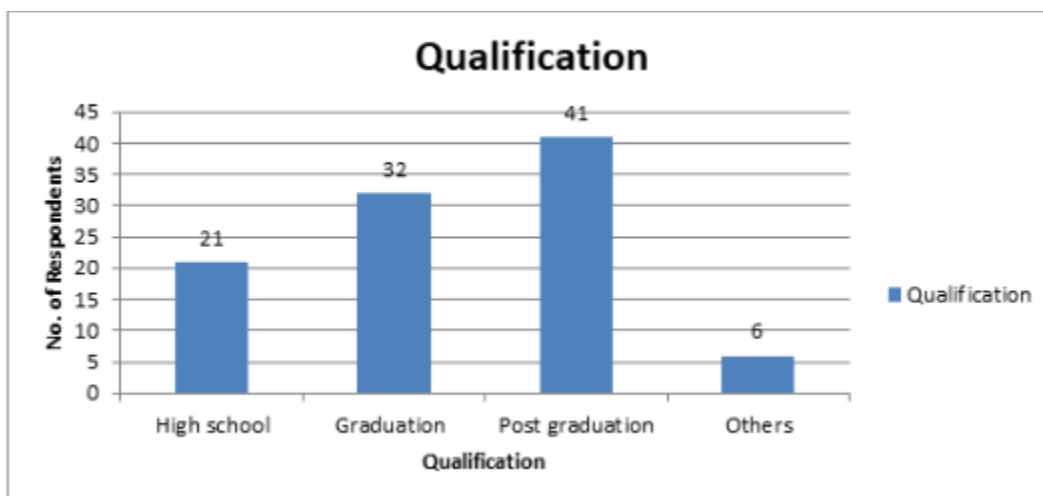
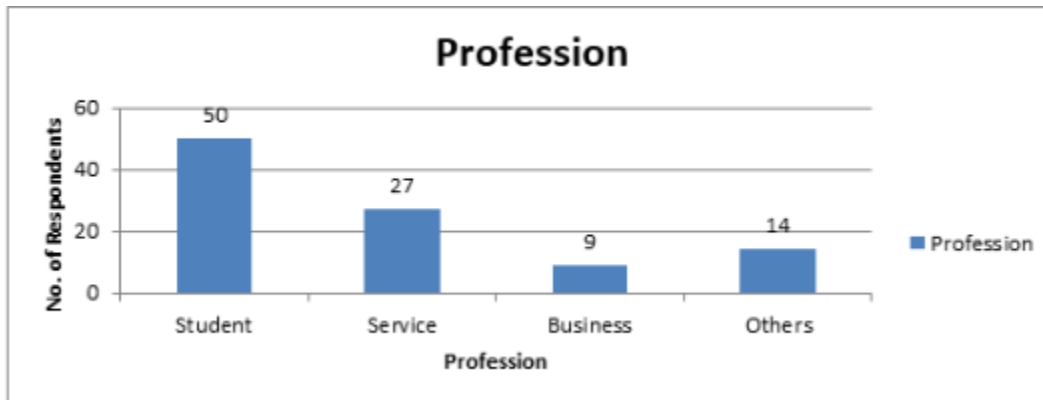


Figure 3, shown that 21(21%) respondents were from high school, 32 (32%) from graduation, 41(41%) from post-graduation, 6(6%) respondents have other degree.

Figure 4. *Profession*



In figure 4, 50(50%) respondents are students, 27(27%) respondents from service sector, 9(9%) respondents from business sector, 14(14%) respondents have some other profession.

Figure 5. *Monthly Income*

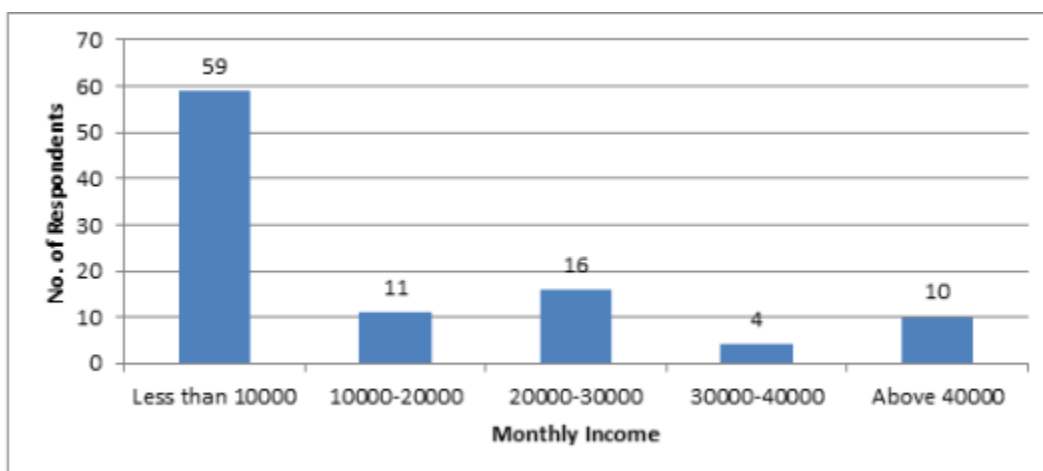


Figure 5, shows the income of 100 respondents per month who were shopping online, majority of the respondents 59 (59%) were earning in the income level up to Rs.10000/-, 11 (11%) were earning in the level of Rs.10000/- to 20000/-, 16 (16%) were belong from Rs. 20000/- to 30000/-, 4 (4%) belonged from Rs. 30000/- to 40000/-, and 10 (10%) respondents were earning Rs. 40000/- above.

2. Consumers Behavior towards online shopping

Table 2. *No. of respondents using mode of shopping*

Variables	Frequency (N = 100)	%
Online	80	80%
Offline	20	20%

Figure 6. *Mode of Shopping*

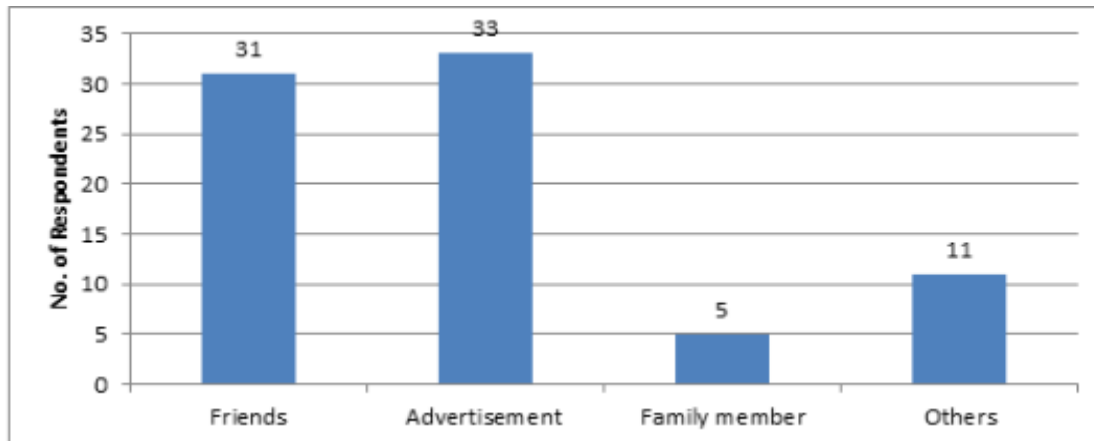
In Figure 6, According to this figure, out of 100 respondents 80 (80%) were shop online whereas 20 (20%) of respondents are shop offline.

Table 3. *Information about the online sites*

Variables	Frequency (N = 80)	%
Friends	31	38.75%
Advertisement	33	40.25%

Family members	5	6.25%
Others	11	13.75%

Figure 7. *No of Respondents*

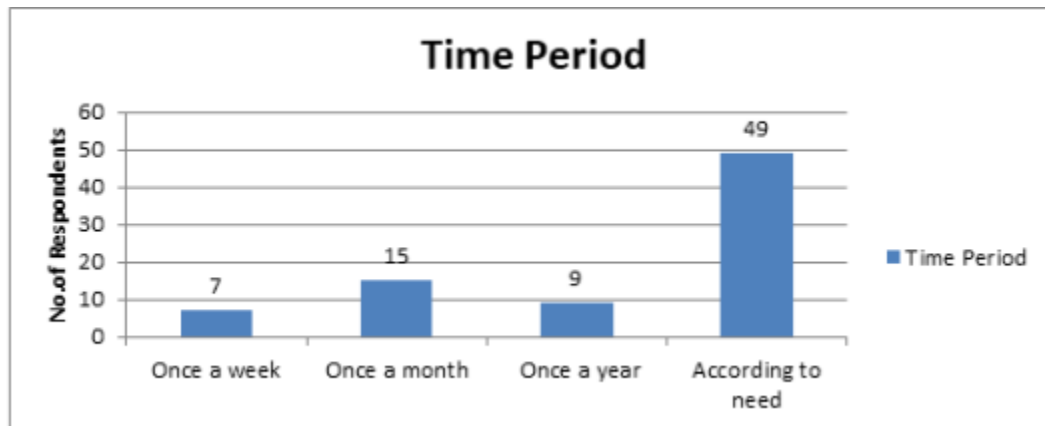


In Figure 7, The accompanying graph shows the methods by which respondents discovered online shopping. It appears that 31 respondents became familiar with online shopping because of their friends, and 33 respondents learned about it from seeing advertisements. In addition, five respondents became aware of online shopping because of their family members, with eleven further respondents being influenced by other types of sources. These findings suggest that both ads and peer influence strongly affect how aware consumers are of online shopping.

Table 4. *Time period of shop online*

Variables	Frequency (N = 100)	%
Once a week	7	8.75
Once a month	15	18.75
Once a year	9	11.25

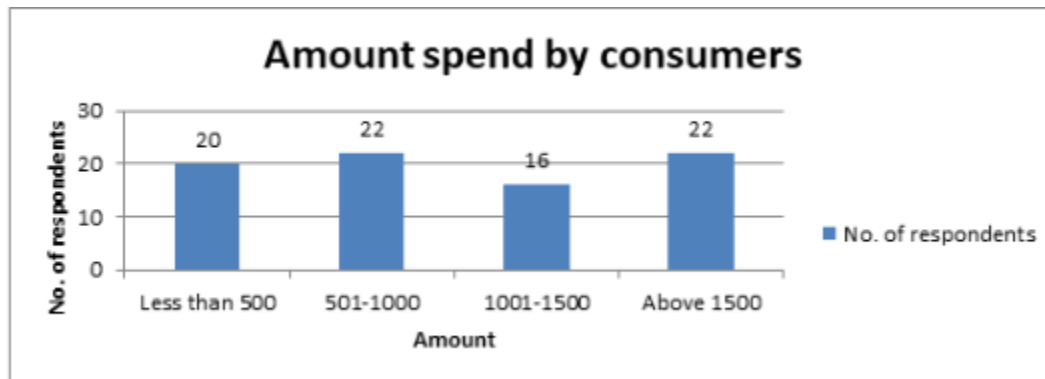
According to need	49	61.25
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Figure 8. *Time Period*

In Figure 8, The data in Figure 8 illustrate how often respondents engage in online shopping. According to the graphic, seven individuals shop online each week, while 15 do so once a month. In addition, 9 of the respondents make their online purchases just once every year. Most respondents, numbering 49, claimed that they shop online only when their needs arise rather than in accordance with a fixed timetable, showing a practical and responsive shopping tendency in consumers.

Table 5. *Regular Monthly Spendings on E-commerce Platforms*

Variables	Frequency (N = 100)	%
Less than 500	20	25
501-1000	22	27.5
1001-1500	16	20
Above 1500	22	27.5

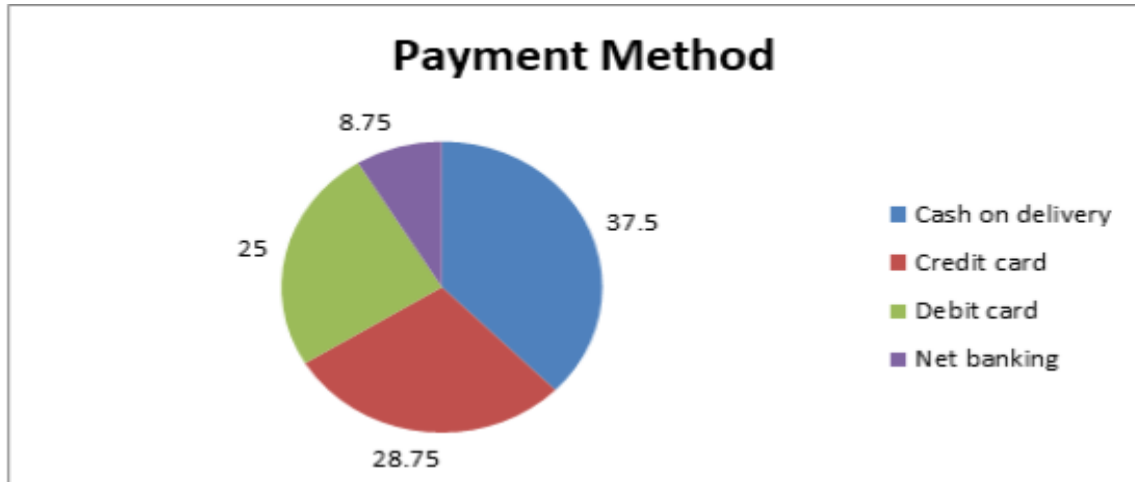
Figure 9. *Amount Spend by Consumers*

In Figure 9, According to the chart, those who said they spend 20 units on e-shopping per month usually spend less than Rs 500, while 22 respondents agreed to spend between Rs 501 and Rs 1000. The remaining 16 respondents plan to spend Rs 1001 to Rs 1500 and 22 intend to spend more than Rs 1500 online.

Table 6. *Payment method mostly used by consumers for online shopping*

Variables	Frequency (N = 80)	%
Cash on delivery	30	37.5
Credit card	23	28.75
Debit card	20	25
Net banking	7	8.75

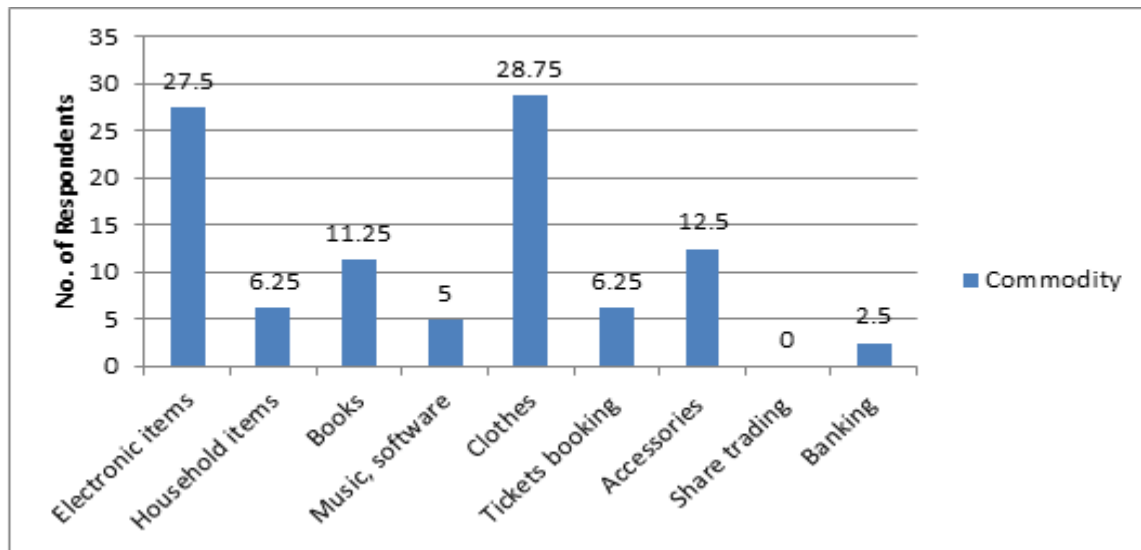
Figure 10. *Payment Method*



In Figure 10, The above figure shows that, the 30% respondents were use cash on delivery method for payment, 50% respondents were use credit card for make payment, whereas 11.25% respondents were use the debit card for making payment, and 8.27% respondents were used net banking method for making the payment for online shopping.

Table 7. *Top Product Types Preferred in Online Purchases*

Variables	Frequency (N = 80)	%
Electronic items	22	27.5
Household items	5	6.25
Books	9	11.25
Music, software	4	5
Clothes	23	28.75
Tickets booking	5	6.25
Accessories	10	12.5
Share trading	0	0
Banking	2	2.5

Figure 11. *No of Respondents*

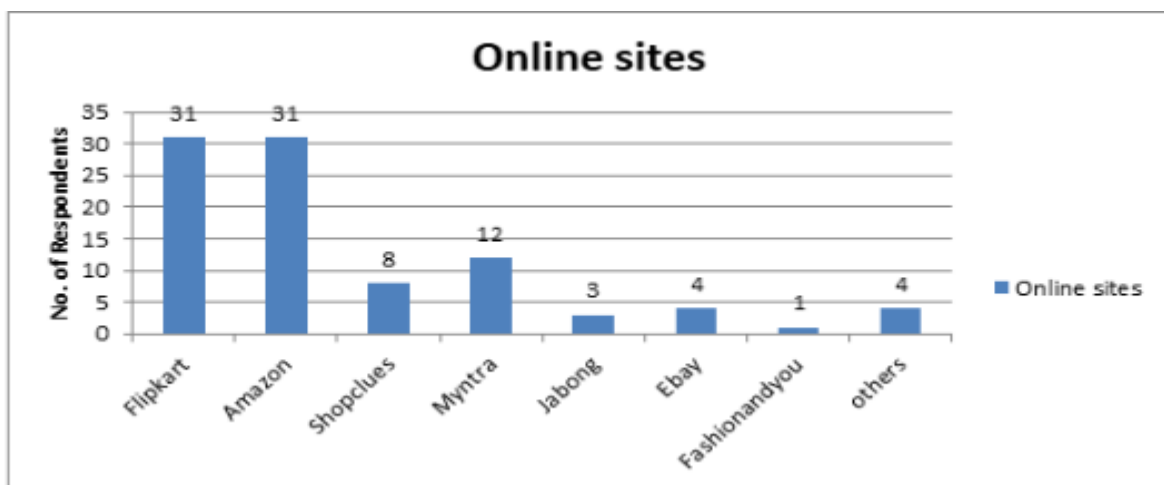
That figure shows that, the highest category of goods purchased by the respondents 28.75% is clothes, and then 27.5 % is electronic items, 12.5% respondents were purchased accessories and 11.25% respondents purchased books. Whereas the lowest category of goods purchased online by respondents 6.25% is household items, 5% are music and software, 6.25% are tickets booking and 2.5% respondents are purchased services of banking from online.

Table 8. *Most Visited Online Shopping Portals*

Variables	Frequency (N = 80)	%
Flipkart	31	33%
Amazon	31	33%
Shopclues	8	8.5%
Myntra	12	12.7%

Jabong	3	3.1%
Ebay	4	4.3%
Fashionandyou	1	1.1%
Others	4	4.3%

Figure 12. *Online Sites*



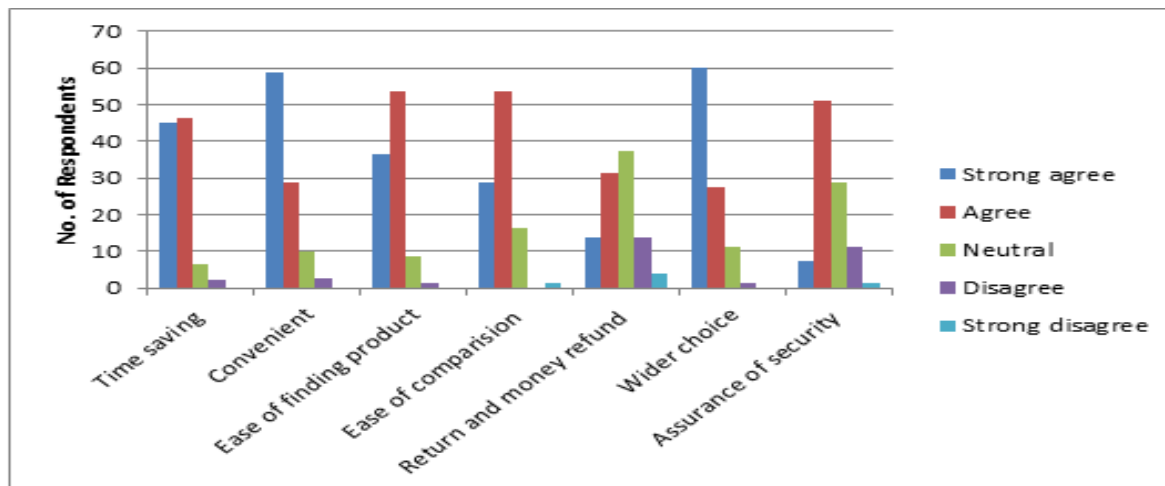
In Figure 12, The graph above makes it clear that most participants prefer online shopping at Flipkart (31) and Amazon (31), which are the top sites according to respondents. Furthermore, a few people also showed preference for other sites such as Myntra, Shop Clues, Jabong, and Fashioned. Clearly, preference for Flipkart and Amazon does not exclude the fact that a group of consumers shop on different websites for products or offers.

Table 9. *Factors that motivate to consumers for online shopping*

Variables	Strong agree	Agree	Neutral	Disagree	Strong disagree
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Time saving	45	46.3	6.3	2.4	0
Convenient	58.8	28.7	10	2.5	0
Ease of finding product	36.3	53.7	8.8	1.2	0
Ease of comparison	28.7	53.8	16.2	0	1.2
Return and money refund	13.8	31.3	37.5	13.7	3.7
Wider choice	60	27.5	11.3	1.2	0
Assurance of security	7.5	51.2	28.7	11.3	1.2

Figure 13. *No of Respondents*

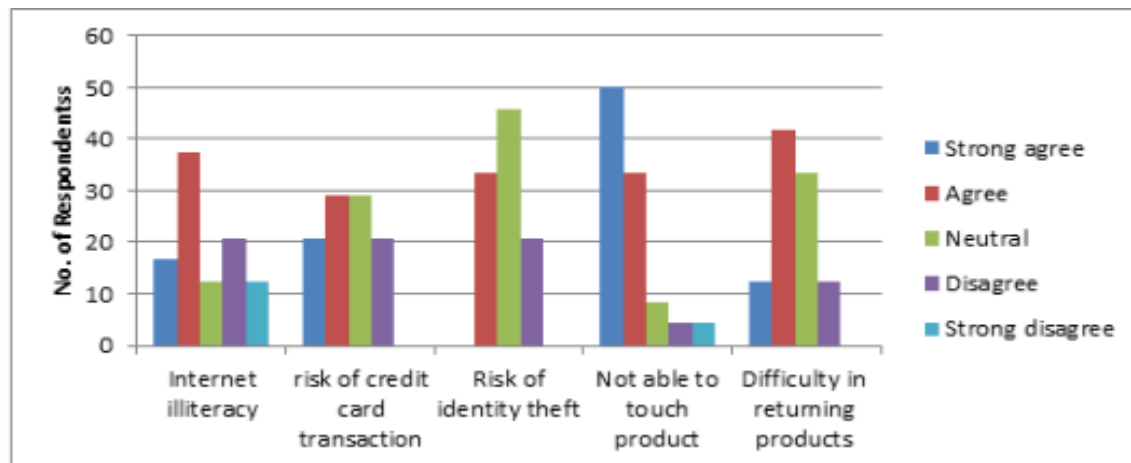


In Figure 13, According to this figure, many respondents are strongly agreeing with the statements of convenient and wider choice of goods and services, and some respondents are agreeing with the statement of time saving, ease of finding the products and ease of comparison. Some respondents are neutral with the statement of return and refund the money and some respondents are disagreeing with the statement of assurance of security.

Table 10. *Reasons for not purchasing goods and services from online*

Reasons	Strong agree	Agree	Neutral	Disagree	Strong disagree
Internet illiteracy	16.7	37.5	12.5	20.8	12.5
Risk of credit card transaction	20.8	29.2	29.2	20.8	0
Risk of identity theft	0	33.3	45.8	20.8	0
Not being able to touch products	33.3	50	8.3	4.2	4.2
Difficulty in returning products	12.5	41.7	33.3	12.5	0

Figure 14. *No of Respondents*



In Figure 14, According to the figure, many respondents agreed that returning products is difficult and that they cannot inspect items themselves before buying. A group of respondents did not express a clear opinion on the risks of credit card transactions and identity theft. At the same time,

a few participants did not see internet illiteracy or identity theft as main reasons people avoid online shopping.

CHAPTER: 5 FINDINGS & CONCLUSION

5.1 Findings

So, this whole thing was basically a deep dive into how folks in Mumbai shop online. They grabbed answers from a hundred people—most of 'em young, probably scrolling through Instagram between classes or work. Not exactly shocking, but everyone's into shopping online mostly 'cause it's easy, there's way more stuff to choose from, and let's be real, nobody wants to waste time in traffic just to buy a T-shirt.

Amazon and Flipkart totally rule the scene. Clothes and gadgets? Yeah, those are flying off the virtual shelves. And even though there are, like, a zillion payment options for these days, people still cling to Cash on Delivery. Trust issues? Maybe. Or just old habits.

On the downside, people gripe about sketchy product quality, getting their money stolen, and the circus that is returning stuff. Oh, and everyone's glued to their phones—barely anyone's using a laptop to shop anymore. Ads and friends' hot takes also play a big part in what people end up buying. So, bottom line: online shopping in Mumbai is booming, but it's still got a few bumps in the road.

Demographic Insights

So, here's the scoop: Turns out, if you're in Mumbai and shopping online, odds are you're probably in your twenties—maybe still in college, maybe just starting your big adult job (good luck with that). Most folks answering the survey had at least a degree, sometimes more. Basically, this crowd knows their way around the internet. Oh, and guys edged out the girls by a bit—not by much, but

enough to notice. And get this: even people not exactly swimming in cash is hopping online to shop. Proof that everyone's in on the action, not just the well-off. Digital life really does not discriminate.

Gender Breakdown

The respondents comprised 57% male respondents and 43% female respondents. Men are slightly more likely to shop online than women at present, even though the gap has started to diminish as more women adopt the internet.

Age Group

Roughly a quarter of respondents purchased products online, the majority being young adults between the ages of 21 and 25, reflecting the national pattern of greater online involvement among young generations. The age group in question is most tech-savvy and tends to welcome new digital tools and apps quickly.

Educational Qualification

Postgraduates (41%) constituted the most significant educational segment. This proves that people who have higher educational qualifications are inclined towards online shopping because they have more exposure to digital tools and can critically assess product information.

Occupation

Students (50%) comprised most of the sample, followed by working professionals and homemakers. This suggests that online shopping is a desired option among youngsters, probably because it is convenient, saves time, and is affordable.

Income Level

Many respondents (59%) had a monthly income of less than ₹10,000, indicating that even those from lower income classes take part in online shopping. This is a resultant effect of competitive prices, EMI payment schemes, free shipping, and cash on delivery provided by online stores.

Shopping Behavior and Preferences

Mode of Shopping

Near 80% of participants preferred to shop online which clearly suggests a change in normal shopping habits. Around 20% of consumers were happy to visit stores, alongside shopping online at the same time.

Frequency of Online Shopping

61.25% purchase online just when needed, and the rest visit online stores weekly or monthly. The results confirm that online shopping, overall, is driven primarily by requirements rather than by a desire to spend time or money on leisure items and entertainment.

Monthly Spending

About 27.5% of participants put between ₹501 and ₹1000 towards online shopping each month, and another 27.5% exceed ₹1500 in monthly online spending. This indicates that online shopping is a habitual financial activity for a considerable number of shoppers.

Product and Platform Preferences:

Preferred Product Categories

Clothing and electronics were the items bought most often, suggesting that online shoppers prefer fashion and technology products. Books, groceries, and accessories were not among the top product categories preferred.

Preferred Platforms

It was found that the greatest percentage of respondents relied on and used Amazon and Flipkart. The large selection, promotional offers, and good reputation of these platforms most likely make them so popular. According to the survey results, the popular.

Awareness and Influence Channels

Sources of Information:

Online shopping was predominantly introduced to survey respondents by advertisements (40.25%), and to a significant degree by recommendations from friends and family (38.75%). It reflects the high efficiency of digital advertising and how highly individuals value the recommendations or experiences of others in their social circle when making online purchases.

Decision Drivers:

Reviews, ratings, descriptions of products, and discounts all played significant parts in shaping the order decisions of the respondents. Prior to purchasing, many consumers read feedback from other buyers.

5.2 Challenges Faced During Online Shopping

- i. While online shopping has several benefits, the study findings also indicated some of the challenges consumers encounter when doing it. Among the most serious issues was the

inability to physically check the products before purchasing. Most respondents indicated that they are not sure of the actual quality, size, and material of the product when doing online shopping, particularly in products such as clothing or electronics.

- ii. An additional problem was concerning whether online payments were safe to use. Some users did not want to use debit or credit cards out of concern about fraud or data breaches. Since they feel the risk is too high, most people using traditional banking methods rather than online payment platforms.
- iii. Product return procedure was also flagged as a source of pain. Some of the respondents indicated that return or exchange procedures sometimes take too long or are too cumbersome, causing unhappiness. Easy returns are a feature offered on some platforms but not on others or for every product and merchant.
- iv. Delayed delivery was also noted by some users. When items fail to deliver on time, particularly during peak seasons or in cases of emergencies, it harms the confidence in online services. In addition, digital illiteracy is still a constraint for a minority of users, particularly older people who struggle to surf or make payments without assistance.

These are challenges that imply that although shopping online is gaining popularity, there are still hurdles that hinder full acceptance by every consumer group.

5.3 Conclusion

The process of human global business is advancing at a rapid pace thanks to internet shopping. The number of online consumer-to-business sales in the B2C sector has risen greatly over the last few years. Internet shopping is now popular not only in richer economies but also in emerging markets, such as India. Because online shopping saves time, provides many products, and is simple

to use, it is being used by more and more consumers. The internet supports international business interactions, and e-commerce makes it possible for everyone to shop from anywhere 24*7 hour.

Results of the Mumbai based research showed that online shopping is chosen above other options by students and young professionals, as well as other segments of consumers. The survey showed that respondents like online shopping because it is always accessible, does home delivery, features a larger assortment, and saves them from lost time. Customers appreciate having the opportunity to look at many sites, assess price differences, and read product evaluations ahead of buying.

The report revealed that people choose online shopping primarily because it is quick, easy, offers many varieties, and saves time. Staying at home has led consumers to routinely buy apparel, electronics, books, household goods, and book travel online from their houses. The results reflect a striking shift from the conventional in-store shopping to a faster and more digital mode of consumer behavior.

According to the findings, Cash on Delivery was the delivery approach selected most by the respondents. The study finds that people are still worried about their credit card info and online payment safety. While both digital wallets and online banking are available, people still feel protected with COD.

Despite the majority's positive attitude toward online shopping, some problems were recognized which restrict its entire adoption. People also worry about seeing products before buying, the risk of card scams, uncertainties over the quality, and the difficulty of organizing returns. Furthermore, a small group of respondents was apprehensive about entering their personal and financial details online.

Ultimately, online shopping is no longer new — it is increasingly part of routine consumer activities. Even though growth is evident, electronic commerce platforms must put greater effort into trustworthiness, experience, return policies, and online payment security. According to the study, more people are adopting online shopping while also indicating which aspects need attention from service providers.

CHAPTER 6: RECOMMENDATIONS & LIMITATIONS

6.1 Recommendations

after chatting with a hundred folks from Mumbai (yeah, we got out there and asked real people), some stuff just kept coming up. People are paranoid about getting scammed, hate confusing return policies, and if their moneys at stake? Forget it, they want Fort Knox-level security. Oh, and don't even get me started on returns—if you make that painful, you're losing customers faster than you can say “add to cart.”

So, if you're running an e-commerce gig, here's what you need to fix: Make your returns as easy as breathing. Seriously, no forms from the 1800s or endless calls to customer care. Make payments feel safe—like, “my dad would trust this” kinda safe. And deliveries? People want to stalk their orders in real time, like a Netflix binge. Slow or sketchy deliveries are basically a breakup letter.

Next up, your app—if it's glitchy or only works in English, you're shutting out half the city. Mumbai's a melting pot, man. Throw in some Hindi, Marathi, maybe even a little Gujarati. And hey, nudge people toward digital payments with a few sweet deals—everyone loves a good cashback.

Personalized recommendations? Not just some random “you might like” spam. Use their shopping history, make it feel like you know them (but not in a creepy way). That's how you keep people coming back. In the end, it's all about making things stupidly easy, safe, and—dare I say—enjoyable.

Do all this, and you'll have Mumbaikars eating out of your (virtual) hand. Ignore it, and well, good luck keeping up with all the new kids on the block.

- i. **Enhance Return and Exchange Process:** The study found that many customers have trouble when they need to return or exchange a product. Most participants in the study were concerned that they might not receive a reasonable refund, or that the exchange or return steps would be difficult to manage. Websites ought to demonstrate that the return process is designed to be straightforward, instantly responsive, and open to all customers. With clear return instructions, customers can promptly obtain refunds and track their returns using either messages or applications, which helps increase their trust.
- ii. **Enhance Security for Online Payments:** Many consumers continue to use COD as their payment method, primarily out of ongoing apprehension regarding credit card fraud and identity theft in online transactions. Online marketplaces are required to introduce more robust security approaches, including end-to-end encryption and two-factor verification, and also make it simple for customers to find information on making secure payments. At time of checkout, customers should receive prompt reminders about staying safe during online purchases.
- iii. **Websites ought to offer their services in local and regional languages:** In our research, we noticed that apps that use only English make users aged 60 or above, as well as those with less schooling, less confident about their data security. To help users in India feel at ease with e-commerce, businesses must make their websites available in the most common regional languages of the country.
- iv. **Enhance Mobile Usability and Speed:** Because an overwhelming number of respondents use mobile phones for online shopping, apps should be designed for efficiency, fast

responses, and smooth usability with limited data. Mobile shopping can be much better by giving users simple layouts, spacious buttons, a brief checkout process, and options for voice search. A user-friendly mobile interface leads to fewer abandoned carts and substantially higher customer satisfaction.

- v. **Encourage Digital Payments Through Incentives:** Offering enticements for digital payment means, such as UPI, debit cards, and mobile wallets, allows e-commerce platforms to reduce cash payments and speed up transaction safety at the same time. You may convince customers who are not used to digital payments to participate by providing discounts, extra rewards, or using scratch card options. When delivery problems are minimized and orders are processed more quickly, the platform and the user both gain benefits.
- vi. **Personalized Shopping Using User Behavior:** Findings indicate that users prefer platforms such as Amazon and Flipkart because they personalize recommendations and inform users about ongoing deals. E-commerce sites that collect information about a user's saving, browsing, and purchase activities are able to produce recommendations tailored to personal preferences, increasing customer satisfaction and greater conversion levels.
- vii. **Improve Delivery Accuracy and Timeliness:** Many respondents noted that deliveries were frequently delayed or had errors. By working closely with logistics partners, platforms can guarantee that shipments are delivered quickly and without errors. By enabling real-time tracking, time-specific delivery windows, and mobile message confirmation of delivery, platforms can assist in reducing users' stress and complaints.
- viii. **Responsive and Friendly Customer Support:** E-commerce success greatly depends on making customer service both simple and effective. Participants expressed that it is hard to

get help from customer service if products encounter problems, and delays in responding make the situation worse. Supporting users over their entire journey can be made easier if e-commerce sites provide both live chat and WhatsApp, together with a toll-free helpline to resolve queries. Support offered around the clock in diverse languages is expected to raise user satisfaction by a large margin.

- ix. **Create Student-Centric Deals and Discounts:** Students represent a highly appealing reason for e-commerce sites to introduce special offers meant for this group. Examples include special discounts for the academic season, promo codes that fit user hobbies, or small rewards after registration is finalized. These special deals allow platforms to engage younger customers and maintain those relationships as their earnings grow.
- x. **Encourage Customers to Share Reviews and Feedback:** Customer opinions posted online are key sources consumers use to make purchasing decisions. Feedback from customers help potential purchasers make better decisions and increase the site's and vendor's trustworthiness. It is beneficial for online vendors to send customers a message about leaving feedback once the product has been shipped. Some vendors use customized emails, while others place app reminders, to notify customers about their need to give feedback. Feedback is most likely to be given by customers when they are presented with easy rewards such as discount vouchers or points. The availability of verified customer reviews clarifies issues of both product quality and the vendor's trustworthiness for visitors.

6.2 Limitations of the Study

This research has been able to discover the pattern of online consumer behavior among Mumbai consumers and gain interesting insights into their choice, motivation, and issues. It was like all

research, though, faced some limitations based on sample size, location, time limitation, and study design. It is important to recognize these constraints to realize the limits within which the findings hold. It also assists subsequent researchers in recognizing areas where more in-depth exploration is required. The limitations mentioned below identify the factors that potentially affected the results and provide suggestions for enhancing the quality and extent of subsequent studies on the same subject.

- i. **Limited Sample Size:** The research was done on a sample population of merely 100 respondents, which is comparatively small when the entire city's population of Mumbai is considered. Though the results hold good for the chosen population, they cannot be extended to the entire city. A bigger sample population comprising diverse age groups, income levels, and educational levels would have made the overall study more reliable and offered more elaborate information about consumer behavior.
- ii. **Location-Based Constraint:** This study was restricted to the geographical region of Mumbai alone. Consumers in rural areas or other cities would have varying attitudes, tastes, and issues while shopping online. Regional characteristics such as the penetration of internet, literacy, delivery services, and consumer buying behavior are very different. Thus, the results of this study cannot be applied across the board to the entire country without further research in other regions.
- iii. **Relying on Structured Questionnaire:** The information gathered was purely based on a response from a structured questionnaire. Although the method is effective for the collection of uniform data, it does not provide much scope for gathering in-depth personal views. The respondents might have selected options without thoroughly comprehending

the questions or answered with socially accepted options instead of being honest, and hence there could be some bias in the data gathered.

- iv. **Absence of Qualitative Data:** The research was based entirely on quantitative tools like charts, percentages, and frequencies. It also did not have open-ended questions, interviews, or focus group interviews. All these qualitative tools would have facilitated understanding of individual experience, feelings, and sentiments behind the figures. Lack of such information constrains depth and emotional insight into the study findings.
- v. **Short Timeframe of Data Collection:** All the data was collected, and the survey was finished in just a few days. Because people's buying habits keep changing as festivals approach, offers come out or new technology becomes available, the research only shows an image of behavior at that specific point. Longer survey studies that are repeated find it easier to spot common shopping habits on the internet, especially during certain seasons.
- vi. **No Specialization on Specific E-commerce Sites:** While Amazon and Flipkart were identified as the most used platforms, the research did not encompass any in-depth brand-wise analysis. Parameters like delivery speed, product quality, app usability, and return process may vary from platform to platform. A study at the platform level would reveal more about why users use specific websites over others and how they are satisfied with the quality of service.
- vii. **Non-Inclusion of Offline-Only Shoppers:** Only those study respondents who had ever shopped online were included in this research. It did not include shoppers who use only offline methods and choose not to shop on the internet at all. The inclusion of these users might have highlighted major obstacles to using electronic commerce, specifically

apprehension about fraud, inadequate digital skills, or problems with internet availability — important factors for broadening the user base of online stores.

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BACKGROUND

Every household relies on grocery shopping. Although some people postpone buying extras, they need to buy food and necessary goods each day. Thanks to this, the grocery market has stayed strong and increased its growth during periods of economic trouble. For years, the role of food stores was provided mostly by kirana shops, neighborhood markets and large city supermarkets. Yet, over the past decade, technology and digital commerce have greatly shaken up this development. The fast-moving lifestyle and worsening traffic in Mumbai mean many people find

it harder to step out for grocery shopping. Because of this, a number of digital start-ups have introduced online grocery platforms so consumers can shop conveniently for their daily items. It is possible to get many products delivered, skip the line at billing counters and browse numerous products through just a website or app. Because real estate in cities like Mumbai and Delhi is getting more expensive as urbanization expands, the need for large supermarkets within them decreases. Now that many stores are found in remote areas, residents often find it hard to reach them all the time. Shoppers can now rely on grocery services online because essentials are delivered to their homes.

Even so, the online grocery sector still faces certain problems. Though it seems welcoming, many beginning ecommerce businesses have still failed, mainly because of confusion with inventory, difficulties with logistics and low profit. Only a small group of companies have managed to survive and thrive, proving that effective systems and planning matter a lot.

RETAIL AND GROCERY SECTOR IN INDIA

Because retail in India is growing so fast, it contributes a lot to the nation's GDP. As people's incomes rise, more move to cities and their shopping habits shift, retail is changing quickly. Market research shows that Indian retail reached ₹55 trillion by the end of 2019 and is still rising at a CAGR between 12% and 15%. Out of all industries, grocery continues to be the most important. India's global position in the grocery market is high, largely due to its large population and regular need for household products. Although e grocery has huge potential, about 90% of all retail grocery sales are still handled by small, familiar shops and vendors. Although most of the market is controlled by small retail players, supermarkets, large stores and now digital sites are seeing quicker growth. You can see this switch easily in cities, especially Mumbai. As more people get

comfortable with technology, using online grocery platforms like BigBasket, Blinkit, Zepto and Swiggy Instamart has increased quickly. According to their capabilities and locations, companies choose among local, inventory or hybrid models for their operations.

Reports are also showing that e-commerce users in India could rise to over 650 million people by 2025. With grocery being something, people buy again and again, it is likely to be a big factor in the move to online shopping. Thanks to Mumbai's busy workers, busy schedules and more smartphones, the digital grocery market is growing fast.

Several elements make this industry attractive such as growing demand for easy shopping, more nuclear families, an expanding middle-class community and good payment and delivery options in Mumbai.

ONLINE GROCERY RETAIL UNDER THE ANALYSIS OF PORTER'S FIVE FORCES

The suppliers in this industry are able to exercise mild bargaining power: Both well-known packaged food brands and small shop owners selling fresh goods make up the suppliers in this field. Here in Mumbai, when online services use local shops, sellers keep running their businesses offline as well. Additionally, because most grocery items are standard and can be substituted, the platforms can transfer to new suppliers quickly and usually with little expense. Then again, keeping a high level of quality and meeting deadlines can affect the system's reliability. In this respect, many suppliers exist, but companies face challenges in keeping strong partnerships while controlling their stock which gives them moderate bargaining power.

The level of rivalry between industry players is very high: The grocery market online in Mumbai is quite competitive. Regional regions contain competitors that try to win over the same customers. Whether a store uses WhatsApp or offers quick online purchases, the competition is very fierce

today. Growth in this industry comes at a high price, brands need to advertise a lot and most discounts come at the owner's cost. Existing offline stores like Reliance Fresh and DMart are now selling online, meaning the competition has increased. The rivalry stays tough because there aren't many different products on offer and customers expect a lot.

Porter's Five Forces Analysis is used for Online Grocery in Mumbai: External competitors enter the industry relatively easy – High Companies that start their online grocery operations with a hyper-local focus experience little resistance to entering the market. Many new businesses in Mumbai partner with local shops and relied on delivery apps to deliver orders. There is little capital needed, no storage required and not much in the way of facilities, so new sellers are drawn to this business.

It might be simple to get involved in the market, but it isn't easy to keep operations going after that. Food and grocery delivery online needs logistics, outstanding customer service and quick fulfillment options. Many new companies find it hard to perform order accuracy, match available inventory and keep costs low, causing customers to switch to other brands. Because of their size, more funding and familiar brand name, BigBasket and Zepto have an edge over new rivals.

Even with these difficulties, since newcomers face few costs and bigger demand, the industry still attracts more new entrants, increasing the risk (especially in crowded areas of Mumbai).

The potential for buyers to replace a product with an alternative is large: In Mumbai, people have convenient alternatives to getting their groceries online. You can quickly buy what you need from a kirana store, a mini supermarket or a mobile vegetable seller, with no chances for a delay and easy opportunity to check the quality of your goods.

Online shopping is convenient, but it's still not possible to physically check for freshness or try to strike a deal as you can in stores. In truth, a lot of older people and housewives in Mumbai still buy perishable foods at their nearby stores.

Moving to a substitute cost practically nothing and many consumers use retail websites as well as stores. Therefore, online platforms face very high competition which leads them to continuously improve speed, pricing and customer experience.

IN BRIEF, THE LEVEL OF PERFORMANCE IN AN INDUSTRY.

1. Though more people shopping online for groceries is creating demand and online sales in Mumbai are increasing, running a grocery business online is tough. Companies need to have efficiency, new ideas and be ready for scale to manage so much competition and easy-to-switch customers. Any business entering this area must expect thinner profit margins, a lot of hard work and the need to be flexible with what customers expect. The Ways Online Groceries Make Money In cities like Mumbai, online grocery companies mostly run with a few important ways of doing business. Each model is distinctive in how it operates, is funded and can be grown. They help us understand the ways organizations deal with placing orders, stocking goods, managing shipping and helping customers in a tough market.
2. Inventory Model With the inventory-based model, the platform needs to buy large quantities, put them all in central warehouses and control the process from stocking to delivering. Big, capital-rich companies with good logistics use this model. Warehousing in Mumbai is typically done on the outskirts, near areas like Bhiwandi, Vashi and Panvel because warehouses are cheaper there and linked to delivery areas.

3. Hybrid Model The hybrid model mixes aspects from both hyper-local and inventory-based methods. Firms that work this way store staples, snacks and packaged foods in their own warehouses and they buy special or highly local items from nearby kirana stores or supermarkets. The use of this model is very useful in Mumbai, given how differently populated and busy different areas are. In Lower Parel and Powai, businesses should work with neighbors to drive deliveries, but in suburbs, using a central hub may be the best solution.

STARTUP FAILURES IN THE ONLINE GROCERY MARKET

Everyone thinks online grocery is the holy grail, right? Like, “Of course it’ll work, people hate grocery shopping!” But nah, it’s been a bloodbath. Just look at PepperTap—these guys came out swinging in 2013, grew crazy fast, delivering something wild like 20,000 orders a day at one point. Then, total nosedive. In less than three years, poof, all their cash burned, doors shut. Mumbai was a total nightmare for them: traffic chaos, inventory all over the place, and way too much money going down the drain just to keep stuff moving. Plus, trying to juggle all those little store partnerships? Honestly, it’s a miracle they lasted as long as they did.

Now, LocalBanya—oh man—these folks were early to the game in Mumbai, back in 2012. They had a solid start, folks ordered stuff, but then, things just didn’t click. Couldn’t keep up with deliveries, money started drying up, and people’s expectations? Through the roof. Automation? Barely. Scaling up? Forget it. They just kind of fizzled out, quietly, after not being able to keep up.

And then there’s ZopNow. They tried to play it smart by joining forces with big retailers like More and HyperCity. Worked for a hot minute, maybe. But keeping those partnerships humming, while

also making sure people got their groceries on time? Whole different beast. In the end, they just shrunk down to a couple of locations and called it a day.

So yeah, just raising a boatload of cash doesn't mean squat here. If you can't nail logistics, control your supply chain, and keep your customers from ghosting, you're toast—especially somewhere as bonkers as Mumbai. Most of these flops? They got taken down by shoddy logistics, leaning too much on flaky suppliers, burning piles of cash just to snag new customers, and biting off way more geography than they could chew.

The ones still alive? They dumped money into tech, got creative with hybrid stuff (like mixing their own shops with local partners), and actually paid attention to what Mumbai's neighborhoods want. All those failures? Basically, a crash course for the new guys: adapt or get steamrolled.

Man, the online grocery game in India—especially in a city like Mumbai—is just wild. It's a goldmine if you get it right, but honestly, it's also a total headache. People are hooked on convenience now, everyone's got a phone glued to their hand, and nobody wants to waste an evening at the store. Grocery delivery isn't just a trend anymore; it's basically a lifeline for half the city.

But jumping into this market? Not exactly a walk in the park. The competition's cutthroat, every other week there's some new app trying to snag your customers, and shoppers can ditch you for someone else with, like, two taps. Low loyalty, high expectations. You've got to nail your logistics—get stuff delivered on time, every time—or people just bounce. Plus, if your suppliers' flake on you, you're toast.

There's a bunch of business models floating around. Some apps try to buddy up with local stores, but then half the time your order turns up missing half the stuff. Others go the full warehouse route,

which is great until you see the bills for rent and tech and realize you need a small army to run it. Then there's the hybrid thing, which makes sense for a place like Mumbai—lots of people, lots of neighborhoods, everyone wants everything ASAP.

And let's not forget the graveyard of failed start-ups. Remember PepperTap? LocalBanya? They had cash, they had hype, and they still crashed. Goes to show: if you can't deliver (literally and figuratively), you're out.

So, who's gonna win? The ones who get Mumbai, know what the aunties in Andheri want, keep their app running smooth, and don't drop the ball on deliveries. Mumbai's basically the boss level for online grocery in India—if you can make it here, you're set. Otherwise, better luck next time.

INVENTORY-BASED MODEL IN ONLINE GROCERY RETAIL

So, here's the deal: some online grocery shops (think BigBasket) buy a bunch of products and store 'em in their own warehouses. Like, piles of veggies, giant sacks of rice, shampoo bottles—the works. They don't just list stuff and pray some random shop has it. No, they own the stock. That's great for control freaks, but oh boy, is it expensive.

Especially in India, where getting decent warehouse space in Mumbai or anywhere even slightly central will cost you your last born. And don't even get me started on keeping mangoes cool in May. You need cold storage, smart people to run the show, a fleet of delivery vans... all that jazz. No wonder only a handful of big dogs plays this game.

BigBasket's the poster child here. They run these huge warehouses on city fringes—think Navi Mumbai, Bhiwandi—so they can cover lots of ground. Not exactly next-door, but hey, it works (most days).

Why bother, though? Well, if you run your own stock, you can show what's real. None of that "Oops, out of stock" nonsense after checkout. People trust you more. Plus, you can buy in bulk, cut out a bunch of greedy middlemen, and squeeze out better profit margins. BigBasket apparently gets over 30% of its stuff straight from farmers. Imagine how many WhatsApp groups that took.

Another sweet perk: you can roll out your own brands. BigBasket does this a LOT—think their own atta, masalas, even soap. Those private labels rake in a solid chunk of their sales now.

But let's not sugarcoat it. There's a flip side. Warehouses are money pits. You need loads of cash for fridges, staff, trucks, tech, the works. Startups? Good luck.

Also, stuff goes bad. You can't just stare at a mountain of bananas and hope they last forever. Even with fancy forecasting, you'll end up tossing out some stuff. That's just reality.

And delivery—yeah, that's tricky. Warehouses are out in the boonies to save on rent, which means longer drives, more fuel, more grumpy drivers stuck in Mumbai traffic. BigBasket's tried to fix this by opening smaller, city-based 'dark stores' to zip things faster, but that's still a work in progress.

So yeah, the inventory model—it's got muscle but also serious baggage. Works if you've got deep pockets and nerves of steel. For everyone else, maybe just stick to running a neighborhood kirana for now.

Hybrid Model in Online Grocery

Hybrid Model: The Mashup That (Sorta) Works So, this "hybrid" model is like if your mom stocked up on dry goods in the garage but still ran to the corner shop for fresh veggies. Grocery apps running this system keep their own stash of stuff that doesn't go bad overnight—think chips,

rice, soap—while snagging the fresh stuff (milk, fruit, all that) from whatever local store will answer the phone. That means, in theory, you get what you need, it's fresher, and nobody's stuck dumping crates of wilted lettuce.

Take Mumbai. Real estate is wild, demand is all over the place, and honestly, there's no one-size-fits-all. Zepto, Swiggy Instamart, Blinkit (remember when it was Grofers? Yeah, me neither) all play around with this setup. They want speed, less drama with outside vendors, and—here's the kicker—less risk of running out or throwing away food.

Why Bother with This Hybrid Thing?

Order Fulfillment Actually Improves They stash the non-perishables in their own warehouse, so you're way less likely to see "Out of Stock" banners. The fresh stuff? That's coming from a shop down the street, so it's, well, fresher. And you (hopefully) get your order faster.

Cheaper, Somehow Bulk buying the boring stuff saves money. They can stock up on dal, detergent, you name it and get a deal. But they don't have to waste cash on huge storage for things like bananas or bread, because those come from the local store just-in-time. Win-win, at least on paper.

Test the Waters No need to slap a mega-warehouse in every Mumbai neighborhood. These companies can dip a toe into new areas by partnering with local shops. If it flops, they just ghost—no big sunk cost.

Smarter Guesswork They're always spying on what people buy, both from their stash and local stores. That data helps them figure out what to stock, where, and when, so less stuff goes to waste

But It Ain't Perfect

Stock Drama: If a local partner doesn't update what's left on their shelves, you might get a "sorry, we owe you a tomato" message. Partial deliveries canceled orders... it happens, more than they want to admit.

It's Complicated: Now you've got two different supply chains. Warehouse stuff, and local shop stuff. Juggling both takes fancy tech and serious coordination. Screw it up, and chaos reigns.

Getting Customers? Expensive Margins are razor thin. They basically lose money on the first few orders. Only after you've bought five or six times do they start seeing any real profit. That's why they're always chucking discounts at you.

Delivery Costs Bite: Most of them promise free or dirt-cheap delivery, but the real cost is way higher. Unless your shopping cart is loaded (like, ₹1,000+), they're bleeding money with every delivery. Basically, they hope you buy a ton or come back a lot—or both

So yeah, hybrid sounds smart, and it's definitely a step up from just one model or the other. But don't let the shiny tech fool you, it's a juggling act—and sometimes, balls get dropped.

OFFLINE RETAILERS ADAPTING TO E-GROCERY IN INDIA

So, here's the thing—everyone's glued to their phones, and online grocery shopping is blowing up in India. The big old-school retailers? Yeah, they're not just sitting around letting the new kids eat their lunch. They've started rolling out their own apps and websites or just teaming up with tech bros to stay in the game. The cool bit? These guys have warehouses and stores everywhere (especially in a madhouse like Mumbai where rent costs an arm and a leg and traffic are basically a horror movie), so they've got a leg up when it comes to delivering stuff fast.

Reliance Fresh: Back in 2014, Reliance Fresh decided to get online with RelianceFreshDirect.com. They kicked things off in Mumbai, Navi Mumbai, and Thane. The selection? Massive. We're talking over 6,000 products—everything from onions and apples to shampoo and floor cleaner.

What's cool:

- You can pay however you want: online, card, cash at the door, heck, even meal vouchers (who still uses those?).
- Pick your delivery slot—2.5 hours, so you're not stuck waiting all day.
- Delivery is ₹25 if your bills under ₹499. Above that? Free.
- They grab stuff from the nearest Reliance Fresh or their own warehouses, so it's efficient.

And get this—they use their store staff for deliveries. So, if business is slow in the shop, those folks just hop on a bike and bring you your groceries. It's a win-win: less wasted time for them, fresher veggies for you. Plus, if something doesn't sell online, they just toss it onto the shelves for walk-ins. Way less wastage than, say, Big Basket, which is stuck with what they've got in the warehouse.

Esco: The British Invasion (Digitally Speaking):

Now, Tesco's basically the queen's grocer, right? In the UK, they crushed it with online deliveries. At first, they picked and packed orders in actual stores, but that got messy shelves were half-empty and staff were running around like headless chickens.

So, what'd they do? Switched things up:

In big cities like London, they built special warehouses just for online orders (fancy name: "dotcom depots").

In quieter towns, they stuck with using local stores for picking and packing

They're really into tech—automated sorting, smart logistics, vans with giant Tesco logos. The drivers even act like mini brand ambassadors, so it feels like Tesco's everywhere, online or off.

MyMoreStore – Aditya Birla's Digital Play:

Aditya Birla's More Hypermarkets weren't about to miss out, so they launched MyMoreStore.com. The twist? They let ZopNow handle the tech and deliveries, while Birla's own stores supply the stuff.

Here's what's up:

- A. They deliver in Mumbai's 'burbs, Pune, Hyderabad, and a few other places.
- B. Three-hour delivery slots—chill, not too restrictive.
- C. Orders over ₹499? Deliveries free. Under that, it's ₹20 (so, skip the extra bag of chips if you want to save).
- D. They use smartphones and GPS to batch orders together, so one van can hit a few houses in one trip.

Only hitch? Since the delivery folks aren't Birla's own employees, sometimes things go sideways—wrong address, broken eggs, that sort of thing. Quality control's a bit of a gamble.

So yeah, the old-school giants aren't just watching the e-grocery battle from the sidelines. They're jumping in, making tweaks, and trying to outsmart the pure online players. And honestly, in a place as wild as India, that combo of physical stores and digital smarts might just be their secret sauce.

Strategic Recommendations for Offline Stores Going Online:

Based on the analysis of current trends and business models, how offline retailers can jump into the online grocery game without lighting their wallets on fire.

Use Your Stores—Don't Build Fancy Warehouses: Seriously, why drop a fortune on new warehouses when you've already got stores everywhere? Just use those. Ship stuff straight from the shelves. If the kale doesn't fly off the app, some walk-in aunty will probably buy it anyway. Saves on rent, makes life easier, and honestly, less food goes to waste.

Delivery Folks: Make 'Em Multitask: No need to have a dude just waiting around for orders to pop up. Teach your delivery staff to handle a bit of everything—packing, stacking, maybe even helping out at the counter when things are slow. Plus, if there's a mix-up, they know what went wrong 'cause they picked the stuff themselves. Way less back-and-forth drama.

Don't Be Weird About Delivery Fees: Yeah, you gotta cover costs, but don't scare people off with some wild delivery charge. Maybe knock a few bucks off product prices so the total feels fair. People care about what they pay at checkout, not how you split it up. Just keep your prices in the same ballpark as the competition and you'll be fine.

Let People Pick Up Their Own Stuff: Click and collect—super handy, right? Customers order online, swing by, grab their stuff, and bounce. No waiting in line, no delivery fee headaches. Maybe toss on a tiny convenience fee so folks don't abuse it but keep it reasonable so it's still a good deal.

Bottom line for Mumbai retailers? Play to your strengths. You've already got the stores, the staff, the inventory—don't waste that. Mix it up with some solid online logistics, keep your customers happy, and make sure you're not the slowest guy in the race. That's how you win.

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